



ENTREPRENEURSHIP

STUDENT'S BOOK

FOR SENIOR 1
ORDINARY LEVEL
Experimental version

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FOREWORD

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Dear Student,

Rwanda Basic Education Board is honoured to present to you this Entrepreneurship Student's Book for Senior one which serves as a guide to competence-based teaching and learning to ensure consistency and coherence in the learning of Entrepreneurship subject. The Rwandan educational philosophy is to ensure that you achieve full potential at every level of education which will prepare you to be well integrated in society and exploit employment opportunities.

The government of Rwanda emphasizes the importance of aligning teaching and learning materials with the syllabus to facilitate your learning process. Many factors influence what you learn, how well you learn and the competences you acquire. Those factors include the instructional materials available among others. In this book, special attention was paid to the activities that facilitate the learning process in which you can develop your ideas and make new discoveries during concrete activities carried out individually or with peers.

In competence-based curriculum, learning is considered as a process of active building by the learner where concepts are mainly introduced by an activity, a situation or a scenario that helps the learner to construct knowledge, develop skills and acquire positive attitudes and values.

For effective use of this textbook, your role is to:

- Work on given activities which lead to the development of knowledge and skills;
- Share relevant information with other learners through presentations, discussions, group work and other active learning techniques such as field visit, laboratory work, investigation, role play, case studies and research in the library, from the Internet or from your community;
- Participate and take responsibility for your own learning;
- Draw conclusions based on the findings from the learning activities.



FOREWORD

I wish to sincerely extend my appreciation to REB staff who organized the editing process of this book. Special gratitude goes to the lecturers, teachers, illustrators and designers who diligently worked to successful completion of this book. Any comment or contribution would be welcome for the improvement of this textbook for the next edition.



Dr. MBARUSHIMANA Nelson

Director General, **REB**



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Finally, my word of gratitude goes to the Rwanda Basic Education Board staff particularly those from Curriculum, Teaching and Learning Resources Department who were involved in the whole process of editorial work.

Joan MURUNGI,

Head of Department of Curriculum, Teaching and Learning Resources

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INTRODUCTION

Welcome to the Entrepreneurship Senior One Student book!

This book will help you explore the exciting world of entrepreneurship what it means, why it matters, and how it can shape your future. Whether you dream of starting your own business one day or simply want to understand how the world of work and business operates, this book is a great place to start.

This textbook has seven units, each covering an important topic:

Unit 1: Understanding Entrepreneurship introduces you to what entrepreneurship means and who an entrepreneur is. You will learn about the qualities that make a good entrepreneur and how entrepreneurs solve problems and create opportunities in their communities.

Unit 2: The Role of Work in Society helps you understand what work means and why it is important. You will explore different types of work, common myths and beliefs about work, and why every kind of work deserves respect and dignity.

Unit 3: Concept of Needs, Wants, Goods and Services teaches you the difference between needs and wants, and between goods and services. You will also learn about the factors that influence what people choose to buy and consume.

Unit 4: Financial Awareness introduces you to the world of money and finance. You will learn how businesses access money, how to manage finances wisely, and the benefits and risks of using debit and credit cards.

Unit 5: Initiation to Accounting gives you a first look at accounting and bookkeeping, the tools that help businesses keep track of money. You will learn why accounting is important and explore different types of business transactions.

Unit 6: Factors and Indicators of Business Growth explores what makes a business grow and what can hold it back. You will learn how to recognize the signs of a growing business and the warning signs of a business that is struggling.

Unit 7: Concept of Standardization explains what standardization means and why it matters in business and everyday life. You will learn about different types and levels of standards and how they help protect consumers and improve quality.

Throughout this book, you will find real-life case studies, practical activities, and end-of-unit assessments to help you apply what you have learned.

Learning entrepreneurship is not just about passing exams, it is about developing the skills, values, and confidence to make a positive difference in your life and in your community.

We hope this book inspires you to think creatively, work hard, and believe in your potential

UNIT 1: UNDERSTANDING ENTREPRENEURSHIP



Key unit competence: You will be able to evaluate the roles and traits of entrepreneurs in solving problems and creating opportunities.

Learning objectives:

Knowledge and understanding

- Explain the concept of Entrepreneurship
- Identify key characteristics of successful entrepreneurs
- Explain the characteristics of an entrepreneur

Skills

- Classify individuals based on their entrepreneurial roles in various settings
- Analyse how entrepreneurship supports personal, social, and economic growth
- Assess the impact of entrepreneurs on job creation, innovation, and community development
- Link personal qualities to potential business ideas or leadership roles

Attitudes and Values:

- Exhibit desirable characteristics for personal success
- Appreciate the role of an entrepreneur in entrepreneurship development
- Show respect for differences and personal choices
- Develop a positive attitude with respect to the potential to improve and to succeed

1.0 Introduction:

Entrepreneurship is more than just starting a business, it is the art and science of seeing needs in society or the economy, and turning them into real solutions and opportunities. Entrepreneurs are problem-solvers and opportunity-seekers: they recognize gaps where goods, services or innovation are missing, and with vision, creativity, courage and determination, they bring new ideas to life. In doing so, they not only build enterprises but also create jobs, improve livelihoods, and contribute to broader economic and social development. This unit explores what entrepreneurship means, why entrepreneurs matter, and what qualities help them succeed in transforming challenges into opportunities.



Introductory activity

Read the Case Study below and answer the questions that follow:

Amina lives in a small neighbourhood in Kigali. She notices that many neighbours walk far to buy bottled water because there is no nearby source of clean water. Amina decides to open a small kiosk close to home to sell filtered water at an affordable price. She uses her savings to rent a kiosk near the main road, buys a water filter, bottles and jugs, and begins selling water early mornings and evenings when people return from work.

At first, few people buy while some complain the price is too high, others say the main shop has more items. But some appreciate the convenience. Amina lowers the price a bit and offers home delivery for neighbours. Gradually, more people start buying, especially busy workers. Over time, her kiosk becomes known in the community as a convenient, affordable source of clean water.

Questions:

- a) What community need or problem did the entrepreneur identify that led to the business idea?
- b) What traits or qualities of a good entrepreneur does the person show in the story?
- c) Which roles of an entrepreneur (such as resource mobilisation, setting up business, or managing operations) are visible in this case?
- d) What challenges did the entrepreneur face and what decisions did they make to overcome them?
- e) How does the business benefit the community?

1.1. Meaning, characteristics, and roles of an entrepreneur



Learning activity 1.1

Using your own words, what do you understand by the following terms:

- a) Entrepreneurship,
- b) An entrepreneur, and
- c) Intrapreneur

1.1.1. Meaning of key concepts

What is missing in your world?



Entrepreneurship is the process of starting and running a business. This process starts with a good idea. The idea can be to sell something that solves a problem, for example, selling umbrellas when it rains. The business can sell a product or a service. The business can be as small as one person (the entrepreneur) selling vegetables at a market or as large as a business employing thousands of people.

Next, you need to use the idea to plan for the business, and mobilise resources.

Finally, the business needs to sell the product or the service to customers to make money. A successful business must make more money than it spends. The difference between the money earned and the money spent is called profit. Entrepreneurs use brainstorming to produce ideas and find ways to solve problems. When you brainstorm, write down as many ideas and facts as possible.

An **entrepreneur** is someone who starts their own business. They use their own ideas and resources and take on the risks and responsibilities of making the business succeed. A **business** is an organized activity where people offer goods or services in exchange for money.

Not everyone with ideas is an entrepreneur. An **intrapreneur** is an employee within a business who creates new ideas or products as if they were running their own business. However, the business not the intrapreneur takes the risk and receives the profit from the successful project.

1.1.2 Characteristics of an entrepreneur

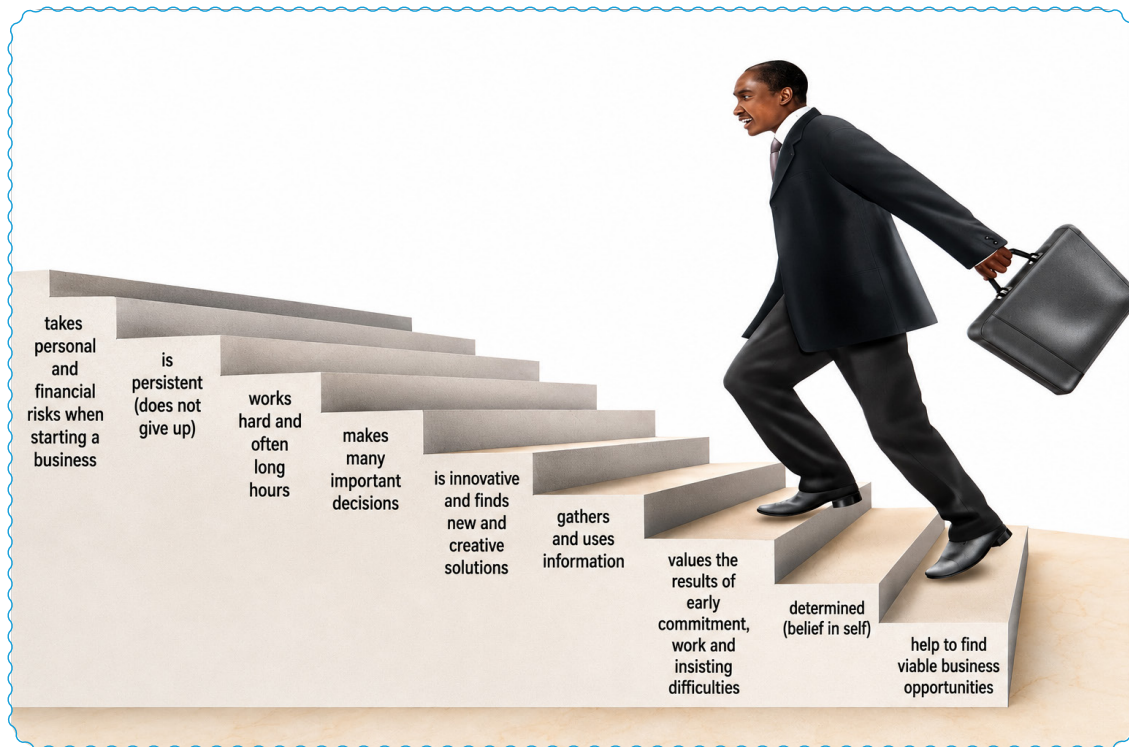


Figure 1. 1: Entrepreneurs possess characteristics that make them different from others

- **Hard working:** The entrepreneur works with a lot of effort and uses time carefully even if this means working long hours, doing many tasks, and never giving up on doing the work that needs doing.
e.g. A person who opens their shop very early, remains there late into the evening, and works every day to serve customers.
- **Innovative and creative:** The entrepreneur can think of new ideas, new products or new ways to solve problems. They don't just copy others; they try to do things differently or better. e.g. Someone who sells bottled water but offers to deliver it to customers' homes instead of only selling at the shop to make their service more useful.
- **Risk taking:** The entrepreneur is ready to try something even when there is uncertainty or danger they know success is not guaranteed, but they take a chance because they believe in their idea. e.g. A young person using their saved money to start a small business, even though there is a chance it might fail or not get enough customers.
- **Decision making:** The entrepreneur must often make important choices about what to sell, how much to invest, what to do when problems come, and choose wisely and confidently. e.g. A business-owner deciding whether to lower prices or offer extra services after hearing customers complaining about prices.
- **Persistence:** Even when things get hard, there are failures, difficulties or slow progress, the entrepreneur does not give up. They keep working, learning, trying until they succeed. e.g. Even after first few days or weeks with no customers or many difficulties, the entrepreneur continues trying, adapting and keeps working.

- **Ability to find viable business opportunities:** The entrepreneur can see needs or gaps in the community or market places, and turn that into a business idea. e.g. Noticing that many people in a neighbourhood walk far to fetch water, and deciding to start a water-selling business close to them.
- **Seek information:** The entrepreneur does not just rely on guesswork. They ask questions, gather information, study what people need, and learn about what it takes to run the business. This helps them make better decisions. e.g. Asking neighbours what they need, checking what products are available in shops in the city before buying supplies for a new business.
- **Determination and perseverance:** The entrepreneur keeps a firm goal in mind and remains committed even when facing challenges, criticism or failure. She or he believes in her or his idea and works steadily towards it. e.g. When the business is slow or faces challenges, the entrepreneur keeps working, improves what they offer or how they sell until things start improving.

1.1.3. Roles of an entrepreneur

Entrepreneurs play important roles that include:

- **Scanning the environment:** The entrepreneur watches the surroundings and market carefully, noticing what people need, what problems they face, and where things are missing. Example: A young person walks around their neighborhood and realises there is no shop selling clean water near homes.
- **Identifying business opportunities:** From what they observe, the entrepreneur sees a chance, a gap or need that they could turn into a business idea. Example: That same person thinks: "People walk far to get water, maybe I can start selling water close by."
- **Mobilising necessary resources:** The entrepreneur gathers what is needed to start the business such as money, materials, tools, labour, or supplies.
- Example: They use their savings, rent a small shop, and buy water filters and bottles to start selling water.
- **Proper allocation of resources:** They organize and use resources in a wise way by putting money, materials and time where they are most needed to run the business well. Example: They spend money on the filter and safe water supply first, then use some for bottles and jugs, and maybe for small packaging, not waste all on decorations.
- **Setting up the business:** The entrepreneur organizes everything to start operations. He or she finds a location, prepares goods or services, gets ready to serve customers. Example: They fix up the kiosk, arrange water containers, prepare a sign or simple stand, and decide when to open (e.g. early morning and evening).
- **Managing business operation:** Once the business is running, the entrepreneur oversees daily work by serving customers, managing money, maintaining quality, dealing with problems, and making decisions.

Example: Entrepreneurs adjust the water price if customers complain, make sure water is clean, refill stock, and perhaps provide home-delivery for busy customers.

- **Creating employment and solving social problems:** The business not only earns profit, it may provide jobs for others, and help solve real problems in the community (like lack of clean water, lack of services).

Example: Their water-kiosk gives neighbours easy access to clean water by reducing long trips, and maybe they hire someone to help deliver or refill water for customers.



APPLICATION ACTIVITY 1.1

Pick a real person in your community who runs a business, or imagine someone you know who could be an entrepreneur. Then complete the table below:

Description of person / Business	What product or service do they offer?	Which entrepreneurial roles do they perform?	Which entrepreneur traits do they show?	How does their business benefit the community / people?

After filling the table, answer the following questions

- Why is this person an entrepreneur?
- How does his or her business help people or the community?
- What can this business do better to help more people or make service better?

1.2. Personal qualities in relation to entrepreneurship



Learning activity 1.2

Personal qualities checklist activity:

Tick (✓) the statements that describe you:

- I finish tasks without being reminded
- I keep trying even when things are difficult.
- I respect people who think differently from me.
- I work well with others when needed.
- I speak clearly when sharing my ideas.
- I set goals for myself at school or at home.

Successful entrepreneurs have certain personal qualities that help them start and run a business. These qualities guide their behaviour, decisions, and ability to solve problems.

- **Responsibility:** Entrepreneurs must be responsible because they make important decisions, manage resources, and are accountable for the success or failure of the business.
- **Commitment:** Commitment is essential because running a business requires dedication, hard work, and the willingness to keep going even when challenges arise.
- **Respect and tolerance:** Entrepreneurs work with different customers, workers, and partners. Respect and tolerance help them build good relationships and create a positive business environment.



Figure 1. 2: An entrepreneur working together with his team to achieve shared business goals.

- **Cooperation:** Entrepreneurs cannot do everything alone. Cooperation helps them work well with employees, suppliers, and partners to achieve business goals.
- **Communication:** Good communication is important for sharing ideas, convincing customers, leading employees, and solving problems effectively.

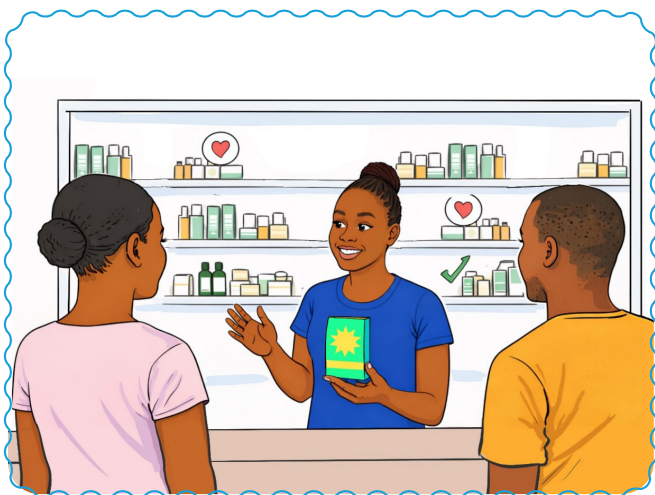


Figure 1. 3: Good communication helps an entrepreneur explain products clearly and build trust with customers.

- **Goal setting and personal development:** Entrepreneurs need clear goals to guide their actions. Personal development helps them improve their skills, make better decisions, and grow their business successfully.



APPLICATION ACTIVITY 2.1

Read the scenario below, and answer questions thereafter.

Mutesi is a student who is admired by many people at her school. She always arrives early, completes her work on time, and helps classmates who are struggling. When her science club plans an event, Mutesi volunteers to organize the materials. She also enjoys coming up with creative ideas for school projects. Teachers often describe her as responsible, committed, and innovative.

Questions:

- What makes Mutesi successful in school?
- Which personal qualities does she show in the scenario?
- Choose one of her qualities and explain what type of business or leadership role Mutesi could succeed in.

For example: "Her creativity could help her lead a project team."

1.3. Entrepreneurs as problem solvers and opportunity creators



Learning activity 1.3

- In your school or community, what is one problem that you think needs a solution? Write the answer in your exercise book.
- Think of a person you know (family member, neighbour, or shop owner). What opportunity do you think helped them start their business? Write the answer in your exercise book.

1.3.1. Entrepreneurs as problem solvers

Entrepreneurs often look around and ask:

- "What problems do people face?"
- "How can I help solve them?"

They focus on finding solutions that make life easier, faster, or better for others. Those solutions include, but are not limited to:

- Providing clean drinking water by selling water filters.

- Opening a printing shop to help students print assignments.
- Producing natural pesticides to help farmers protect their crops.

Why problem-solving is important:

- It helps satisfy customer needs.
- It builds trust and keeps customers coming back.
- It encourages creativity and innovation.

Exercise:

Identify two problems in your school or community and suggest an entrepreneurial solution.

Problem	Possible solution

1.3.2. Entrepreneurs as opportunity creators

An **opportunity** is a chance to do something useful or profitable.

Entrepreneurs look for opportunities where others see challenges.

How entrepreneurs create opportunities

- They notice needs that are not yet met.
- They think ahead and spot future trends.
- They use their skills and resources in new ways.

Examples of opportunity creation:

- A student who draws well designs posters for school clubs.
- A good cook sells snacks during break time
- A person skilled in repairing electronics opens a repair service.

Why opportunity creation matters

- It leads to new businesses and more jobs
- It helps communities develop
- It encourages people to use their talents and creativity.

1.3.3. Opportunity creation in local context

Entrepreneurs in Rwanda create opportunities by using local needs, skills, and resources. Here are simple and realistic examples:

1. Agriculture and agribusiness

- A young farmer starts growing mushrooms because they require little space and are in high demand in Kigali restaurants.

- A cooperative begins producing packaging for fruits and vegetables to reduce waste and help farmers transport products safely.

2. Technology and innovation

- A student creates a phone-repair service, helping people fix screens and batteries at affordable prices.
- Young innovators use drones to help farmers monitor crops or deliver medical supplies in remote areas.

3. Tourism and culture

- A group of youth starts a cultural dance group that performs for tourists and at local events.
- An entrepreneur opens a small guest house near a national park to serve visitors.

4. Environmental opportunities

- A business collects plastic bottles and turns them into building materials or eco-bricks.
- Youth start a tree-planting and nursery business to support environmental conservation and sell seedlings.

5. Education and services

- A graduate opens a tutoring centre to help primary and secondary students with mathematics and languages.
- A printing and photocopying shop is opened near a school to meet students' daily needs.

6. Food and beverage

- A woman begins selling fresh fruit juice in a fast-growing town where many workers want healthy snacks.
- A young baker creates a cake business for birthdays, weddings, and celebrations.

7. Transport and delivery services

- A motorcycle rider offers delivery services for shops and restaurants using mobile apps.
- A cooperative organizes safe bicycle transport in busy neighbourhoods.

8. Fashion and creative arts

- A fashion designer creates modern clothes using traditional imigongo-inspired patterns.
- A young artist sells handmade crafts and souvenirs at local markets.

Entrepreneurs help communities by solving problems and creating opportunities. This makes them important leaders and change makers. With observation, creativity, and determination, any student including you, can become an entrepreneur.



APPLICATION ACTIVITY 1.3

1. Look around your school or home. Identify two problems that make life difficult for people. Then suggest how an entrepreneur could solve them.

Problem you observed	Possible entrepreneurial solution

2. Everyone has skills or interests. Think of one skill you have. Then explain how that skill could become a business opportunity.

My skill	Opportunity I could create with it

3. Case Study – Aisha the problem solver

Read the scenario and answer the questions:

Scenario:

Aisha is a Senior One student. She notices that many students forget their mathematical sets during exams. She decides to start renting out mathematical sets and pens at affordable prices. Soon, teachers and students depend on her service.

Questions:

- a) What problem did Aisha identify?
- b) What solution did she create?
- c) How did her idea become an opportunity for her?
- d) What other products could she add to grow the opportunity?

4. Match the problem to the solution

Problems	Solutions
A. Students struggle to find healthy snacks.	1. Provide affordable phone repair services.
B. People have slow internet access.	2. Sell fruit salads or fresh juice.
C. Many phones in the community have broken screens.	3. Set up a small Wi-Fi hotspot café.



1.4 END OF UNIT ASSESSMENT

1.4.1 Questions for assessment

A. Knowledge and Understanding

- a) Explain the concept of entrepreneurship in your own words.
- b) Identify four characteristics of a successful entrepreneur.
- c) State two ways entrepreneurs contribute to economic growth in Rwanda.
- d) Describe the difference between an entrepreneur and intrapreneur..
- e) Explain how entrepreneurs support innovation in a community.

B. Skills

1. Classify the following individuals into entrepreneur, intrapreneur, or non-entrepreneur:
 - a) A student who designs a new app for his school.
 - b) An employee who creates a new product idea for the company.
 - c) A shop owner who sells groceries in the village.
2. Analyse how entrepreneurship can help your community by describing:
 - a) One social benefit
 - b) One economic benefit
 - c) One personal benefit to the entrepreneur
3. Assess the impact of an entrepreneur in your area (or one you have heard about) by explaining how they:
 - a) Create jobs
 - b) Introduce new products
 - c) Improve community life
4. Complete the table below by linking your personal qualities to a possible business idea or leadership role.

Personal quality	Possible business idea or leadership role
Responsibility	
Creativity	
Communication	
Cooperation	

5. Read the scenario and answer the questions:

Scenario:

Eric notices that students often lose important notes. He designs simple notebooks with labelled sections to help them stay organised. Students start buying them, and teachers also recommend them.

Questions:

- a) What problem did Eric identify?
- b) What opportunity did he create?
- c) Which entrepreneurial characteristics does he show? (mention at least two)

C. Attitudes and values**Case study: "Tito's class activity"**

Tito's class is doing a small group activity. Tito finishes his part on time and helps the group stay organised. One classmate, Liza, has a different idea from the rest, but Tito listens and includes her idea. Another classmate, Ben, is struggling with the work. Tito encourages him and offers help. At the end, Tito says, "We can improve if we keep trying."

Questions:

- a) If you were in Tito's group, what would you do to show responsibility and commitment during the activity?
- b) Imagine you want to become an entrepreneur in the future. What action could you take during group work to show that you value learning from others, just like entrepreneurs do?
- c) If a classmate shared an idea that is different from yours, what would you do to show respect and tolerance?
- d) When you face a difficult task at school, what can you do?

**1.4.2. Project activity**

Task: Choose one entrepreneurial trait to improve (e.g., decision-making, persistence, communication, creativity). Create a 1-month action plan and do weekly follow-ups.

Steps

1. Write the trait you want to improve.
2. Set your goal for the month.
3. Plan one simple action for each week.
4. Each week, write what you achieved.

5. At the end of the month, write a short reflection (3–4 sentences).

Template

My trait: _____

My goal: _____

Week	My action	What I achieved
1	-----	-----
2	-----	-----
3	-----	-----
4	-----	-----
Reflection: _____		

UNIT 2: THE ROLE OF WORK IN SOCIETY



INCOME



EMPLOYMENT



CONSUMPTION



ECONOMIC GROWTH

Key unit competence: You will be able to justify the value of different work in society

Learning objectives:

Knowledge and understanding

At the end of this unit, you will be able to:

- Explain the meaning of different types of work
- Illustrate how different types of work contribute to personal and community development
- Identify the different myths and beliefs about work and their impact on attitudes toward different occupations.

Skills

- Distinguish between the different types of work in the learner's localities.
- Analyse how myths and beliefs affect work
- Describe the value of work
- Analyse the social, economic, and personal value of different types of work

Attitudes and Values:

- Take part in various work in society
- Promote positive beliefs and values about work

2.0 Introduction:

Understanding the role of work in society is important because work is at the centre of how people live, grow, and support their communities. Work helps individuals develop skills, earn a livelihood, and contribute to the well-being of their families and the nation. Studying this unit helps you appreciate why every type of work matters and how it shapes society.

In this unit, you will explore the meaning of key concepts related to work, learn about the different types of work based on sectors of activity, examine common myths and beliefs about work, and understand the dignity and value of work.



Introductory activity

Observe your surroundings at home, on your way to school, or in the community. List five different people you have seen doing any type of work (e.g., farming, selling, cleaning, teaching, repairing, etc.).

a) For each person you listed, answer the following questions in your exercise book:

- i. What work are they doing?
- ii. Is the work mental, physical, or both?
- iii. How does this work help the community or family?

b) Discuss with someone you might be with:

- i. Why is work important in a family or community?
- ii. Which types of work do people in your community value most? Why?
- iii. Are there any jobs considered “less important”? Why do you think that happens?

2.1. Meaning of key concepts and types of work according to sector of activities



Learning activity 2.1

1. Explain the meaning of work and distinguish between mental work and physical work.
2. Identify the main sectors of work (agriculture, trading, manufacturing, and services) and give one example of each from your community.
3. Explain how each type of work contributes to personal and community development.

2.1.1. Meaning of key concepts

Work	Mental work
Work is any activity a person does to achieve a goal or to earn a living. It can be done at home, at school, on a farm, in a shop, or in an office. Work helps people meet their needs and contribute to society.	Mental work is work that uses the brain more than the body. It involves thinking, planning, calculating, creating ideas, or solving problems. People learn how to do mental work at schools and universities. An architect, for example, studies for many years to learn how to design homes.

Example: a teacher preparing lessons, an accountant doing calculations, or a student studying.

MENTAL WORK



PHYSICAL WORK



Physical work

Physical work is work that uses the body muscles more than the brain. It involves effort such as lifting, carrying, building, digging, or cleaning.

Example: farmers planting crops, builders constructing houses, or cleaners keeping the environment tidy.

Often we use the two types of work together.

An engineer, for example, uses mental work to design a house. A builder then uses physical and mental work to read the plans and build the house from them.

2.1.2 Types of work according to sector of work

Work can also be categorized based on specific industries, including agriculture, trading, manufacturing, and service provision. Each of these categories represents different types of economic activity, with unique roles and skills required. This classification helps to understand the diverse nature of work in various sectors and how they contribute to the overall economy.

a) Agriculture

Agriculture or farming means growing crops or rearing animals to provide food, wool, meat and other products. When a farmer grows crops for a family's needs, this is called subsistence farming. When farmers plant crops to sell, these are called cash crops.



Figure 2. 2: Agricultural activities are essential the human survival



Figure 2. 3: fishing is important for people living on the shores of lake Kivu

In Rwanda, most people live in rural areas. Agriculture is an important part of the economy. Some food crops include bananas, maize, rice, sweet potatoes and Irish potatoes. Some cash crops include pyrethrum, tea and coffee.

Farmers grow coffee and tea on steep slopes with fertile volcanic soil. Many farmers work with cooperatives that sell the products for export. Animals raised in Rwanda include cows, goats, sheep, pigs and chickens. Farmers also keep bees and harvest their honey.

Fish is important for many people living in Rwanda. Many people catch fish in the lakes. Fish farmers also breed fish in ponds.



Figure 2. 4: Tea plantation in one of the areas in Rwanda

b) Trading

Trading is the buying and selling of goods or services. People involved in trading help move products from producers to consumers.

Examples: shopkeepers, market vendors, and wholesalers.



Figure 2. 5: There are several business possibilities under trader sector

c) Manufacturing

Manufacturing involves using machines or tools to turn raw materials into finished products.

Examples: making furniture, producing clothes, processing milk into cheese, or making bricks.

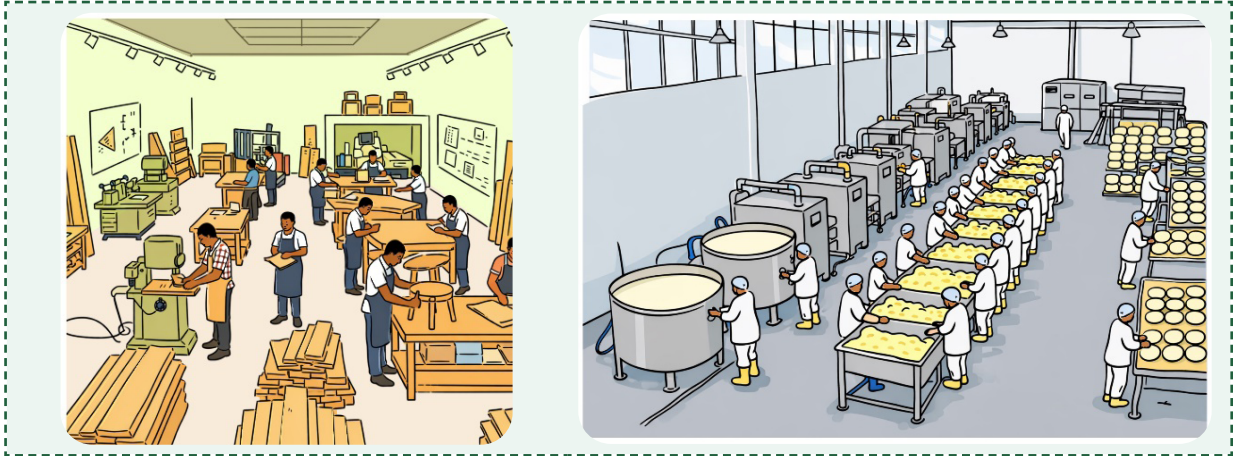


Figure 2. 6: Manufacturing deals with converting raw materials into finished product ready for use or consumption

d) Service provision

Service work involves helping others by providing support, skills, or knowledge instead of making physical products.

Examples: teachers, doctors, drivers, mechanics, barbers, and bankers.

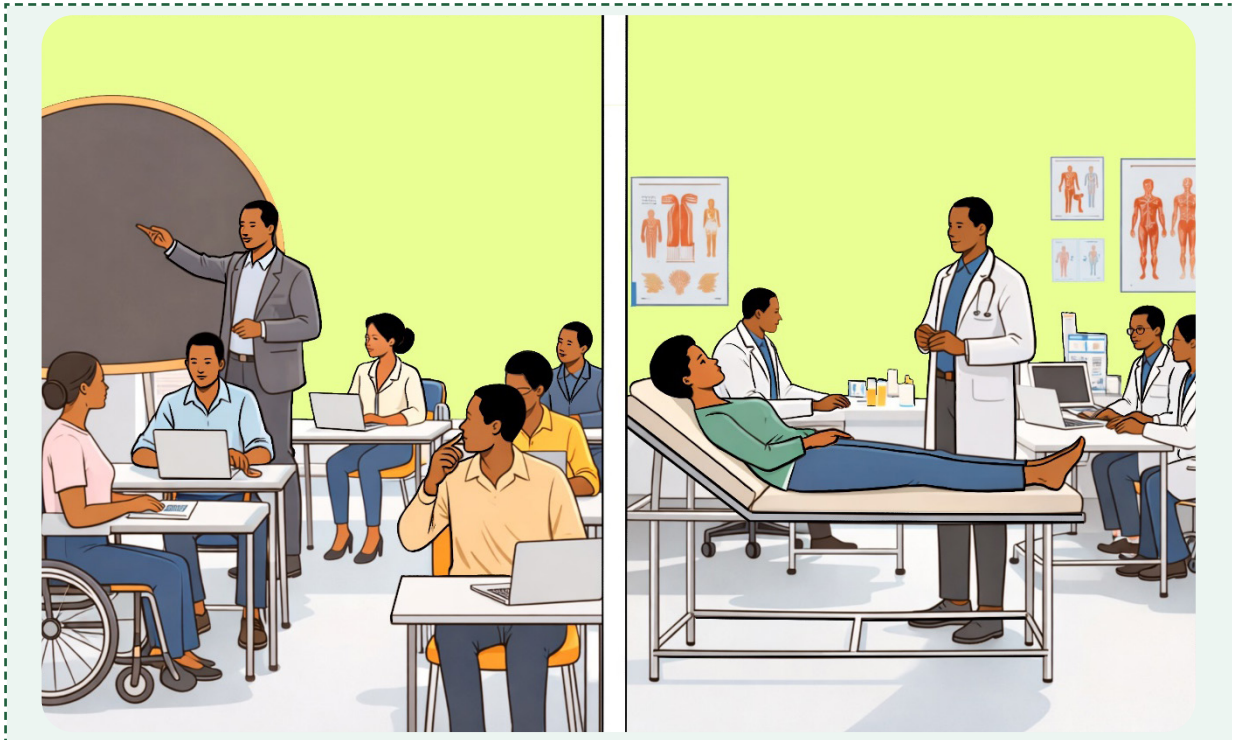


Figure 2. 7: Teaching, medication, mechanics, and hair cutting are examples of service work



APPLICATION ACTIVITY 2.1

1. Match the examples below to the correct sector. Rewrite them in your exercise book:

Types of work	Examples
A. Agriculture	1. A person repairing mobile phones
B. Trading	2. A farmer growing maize on a small plot
C. Manufacturing	3. A shopkeeper selling sugar and cooking oil
D. Service Provision	4. A group making bricks for construction

2. Observe people in your home or neighborhood doing different activities. Copy the table below into your exercise book and fill it in.

Activity observed	Type of work (Mental or Physical)	Sector (Agriculture, Trading, Manufacturing, or Service)

2.2 Myths and beliefs about work



Learning activity 2.2

In your own words, answer the following questions:

- Explain the meaning of i) myth, and ii) beliefs about work
- In your community, which positive beliefs about work such as "hard work leads to success" or "every job has value" encourage people to respect all types of work?

2.2.1. Meaning of myth and belief

Myths are widely shared beliefs that are misleading or untrue, but because many people accept them, they influence behaviour, sometimes in limiting or harmful ways.

Beliefs about work are ideas or assumptions people hold about what work means, who should do what kind of work, and what outcomes work leads to.

2.2.2. Positive beliefs about work

These are broadly accepted ideas about work that encourage good attitudes and behaviours.

a) Hard work leads to success

Many people, and even research show that believing in effort and persistence helps individuals stay motivated, even under challenging conditions.

Example: Someone studies hard, works diligently on a project or farming, and gradually improves their living conditions or career.

a) Every type of work has value and dignity

Believing that “all work matters” helps reduce stigma around jobs considered “less prestigious,” and can promote inclusion and respect for essential services. Example: Farming, teaching, trading, cleaning, craftsmanship, each contributes to society and deserves respect.

a) Consistency and discipline build achievement

Such beliefs encourage long-term commitment, patience, and steady improvement rather than quick, unreliable gains. Example: Someone practicing a craft daily or running a small trading business regularly, over time they build skills, trust, and possibly grow into a stable income.

a) Work can provide meaning and sense of purpose

For many, work is more than income. It gives identity, pride, sense of contribution. For instance: someone working as a teacher or a nurse. Each day, they help other people, a teacher helps students learn and grow, a nurse cares for the sick and vulnerable. According to research, jobs like teaching, health care, social care, roles that directly help people often give workers a strong feeling that their work “matters.”

2.2.3. Negative beliefs about work

These are common but often incorrect or unfair beliefs that can discourage people or create inequalities.

a) Business is only a final option if you fail in school

- Some think that starting a business means you gave up on education, or couldn't get a “proper job.”
- But the truth is: many successful businesses start small, with little money or formal qualifications.
- So business can be a real opportunity, not a “backup.” What matters is hard work, creativity, and persistence.

b) Entrepreneurs are rich because they cheat or exploit others

- This belief assumes that business profit must come from unfairness, not honest work.

- In reality, many entrepreneurs succeed by offering goods or services people need, and working honestly.
- Thinking "rich = dishonest" makes people distrust small-business owners, even when they are honest and hardworking.

c) Housework (domestic work) is only for women

- Some believe that tasks like cooking, cleaning, caring for family are only for women, and that men should do other types of work.
- This ignores the fact that domestic work is real labour: it supports households and society, even if it is unpaid or "invisible."
- Such belief unfairly limits roles by denying value to domestic work and denying men the chance to contribute, and undervaluing women's work.

d) Only rich people can succeed in business" (you need big money to start)

- This myth says that without a lot of money or resources, business success is not possible.
- But many businesses start small, part-time, with little capital, and grow gradually. You don't always need big investments at first.
- Believing you must be rich to try business discourages many capable people with few resources from even trying.



APPLICATION ACTIVITY 2.2

1. Visit your home area or observe your school community.

Write in your exercise book:

- (i) One positive belief about work you have noticed.
- (ii) One negative belief about work you have heard people say.
- (iii) How each belief affects the way people treat certain jobs.

2. Create a simple poster in your exercise book showing one positive belief about work (e.g., "All work has dignity").

Your poster should include:

- (i) A short slogan
 - (ii) A simple drawing or symbol
 - (iii) A sentence explaining why the belief is important for your community
3. Imagine this situation: "A classmate says that certain jobs (like farming or cleaning) are not important"

Question:

Write a short paragraph explaining what you would say to them to help correct this belief and show respect for all types of work.

4. Copy the table below in your exercise book. Decide which statements are myths and which are facts.

Statement	Myth or fact?	Why?
Only men should repair cars.		
Hard work helps you improve and grow.		
Farming is not real work."		
Every job helps the community in some way.		

2.3. Dignity and value of work



Learning activity 2.3

1. What does the dignity of work mean, and why should every type of job be respected?
2. Explain how different kinds of work in a community (such as farming, teaching, building, or cleaning) add value to people's lives.
3. How does recognising the value of all workers promote respect, unity, and positive attitudes toward different jobs in the community?

2.3.1 Meaning of dignity and value of work

Dignity of work means that **every type of work is important and deserves respect**, whether it involves using hands or using the mind. No job is "better" or "less important" than another as long as it helps a person earn a living and support their community.

Value of work refers to the **usefulness and benefits** that work brings to individuals, families, and society.

Work helps people meet needs, develop skills, build confidence, and contribute to development.

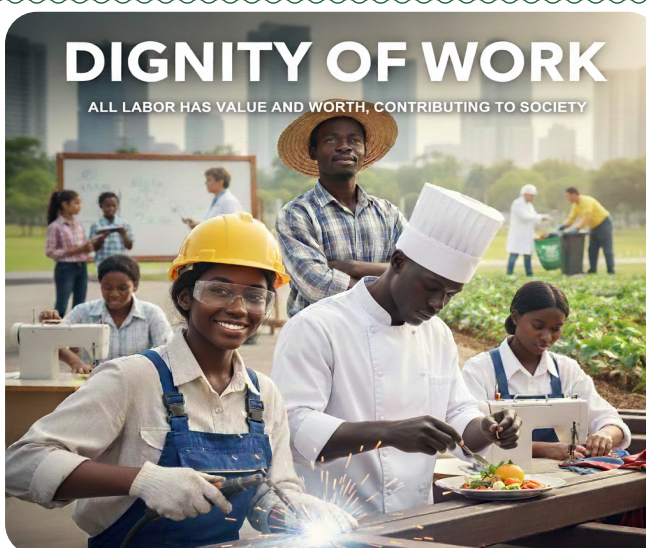


Figure 2. 8: Every honest work benefits the society



Key points

- Every kind of work has value and deserves respect.
- Every job helps society in its own way.
- Working helps people develop skills, become responsible and independent.
- There is nothing wrong or shameful about honest work.

2.3.2. Recognising the value of work in the community

In every community, people do many different jobs that help the area function well. When you look around, you can see that each person's work adds value.

a) Every job meets a community need

Different workers provide goods and services that help people live better.

- Farmers grow food.
- Teachers help learners gain knowledge.
- Builders construct houses and roads.
- Shopkeepers make goods available close to home.
- Each job supports community well-being.

b) Work helps improve living standards

When people work, they earn income to support themselves and their families. This improves housing, health, education, and access to basic needs.

c) Work builds community development

Workers such as engineers, nurses, cleaners, drivers, and entrepreneurs contribute to a clean, safe, and productive community. Their efforts help society grow and solve problems.

d) Work creates dignity and self-respect

Doing honest work allows people to feel proud of their contribution. Work gives a sense of purpose and helps individuals feel responsible and respected.

e) Recognising workers promotes respect and unity

When you appreciate the work others do, whether it is farming, teaching, sweeping, making furniture, or transporting goods, you build respect, reduce discrimination, and encourage cooperation.

When you value different kinds of work, you create a positive attitude toward all occupations and it encourages you to pursue careers based on interest, talent, and community needs.



APPLICATION ACTIVITY 2.3

1. In your exercise book, list five different workers you have seen in your home, school, or village. For each worker, write one way their work helps the community.

Example: Farmer – grows food for families.

2. Write three short sentences explaining why every job deserves respect. Use what you learned about dignity and value of work.

Example: "Every job helps people. Workers support families. All honest work is important." _



2.4 END OF UNIT ASSESSMENT

2.4.1. Questions for assessment

A. Knowledge and understanding

Multiple choice questions: Select the right answer for each of the following questions

- (i) Which of the following is an example of mental work?
 - a) Cleaning the classroom
 - b) Writing a report
 - c) Carrying water
 - d) Digging a garden
- (ii) Which type of work contributes directly to community cleanliness and hygiene?
 - a) Teaching
 - b) Trading
 - c) Cleaning public spaces
 - d) Manufacturing clothes
- (iii) Which belief about work is a myth?
 - a) All jobs are important
 - b) Only some jobs deserve respect
 - c) Hard work helps people achieve goals
 - d) Everyone can contribute something meaningful

(iv) What is the effect of negative beliefs about certain jobs?

- a) People become proud of all work
- b) People avoid important occupations
- c) Communities grow faster
- d) Everyone values physical work more

B. Skills

1. Match each example to the correct type of work. Rewrite the table and match correctly.

Example	Type of work
a. A doctor treating patients	1. Physical work
b. A farmer digging	2. Mental work
c. A tailor sewing clothes	3. Both mental and physical
d. A builder planning a house	

Write any two types of work found in your community. For each one:

- a) Identify the sector (agriculture, trading, manufacturing, or services)
- b) State whether it is mental, physical, or both
- c) Explain one value that this work brings to the community

C. Attitudes and values

Read the story and answer the questions.

During a school activity, learners are asked to clean the compound. Some learners refuse, saying that cleaning is "low-level work." Umulisa disagrees and joins the cleaning team. She encourages her classmates by explaining that all work is important and helps the school stay healthy.

Questions:

- a) How did Umulisa show positive beliefs about work?
- b) What action can you take in a similar situation to show that you value all types of work?
- c) Why is it important for learners to take part in different types of work in the community and at school?



2.4.2. Project activity

Create a one-page poster showing:

- A name of a worker in your community
- A sentence describing what they do
- One value of their work (social, economic, or personal)
- One positive belief you promote about work



UNIT 3:

CONCEPT OF NEEDS, WANTS, GOODS AND SERVICES

Key unit competence: You will be able to evaluate the relationship between needs, wants, goods, and services, and make informed choices in resource utilization.

Learning objectives: At the end of this unit, you will be able to:

Knowledge and understanding

- Explain the concept of needs, wants, goods, and services
- Differentiate primary needs from secondary needs
- Describe the types and categories of goods and services
- Explain relationships between needs, wants, goods, services, and scarcity
- Identify the importance of making a choice when there are scarce resources
- Explain the factors that influence the consumption of goods and services

Skills

- Classify goods and services based on characteristics (e.g., durable vs. perishable)
- Analyze how scarcity and opportunity cost influence consumer choices
- Apply decision-making skills to prioritize needs and wants effectively

Attitudes and Values:

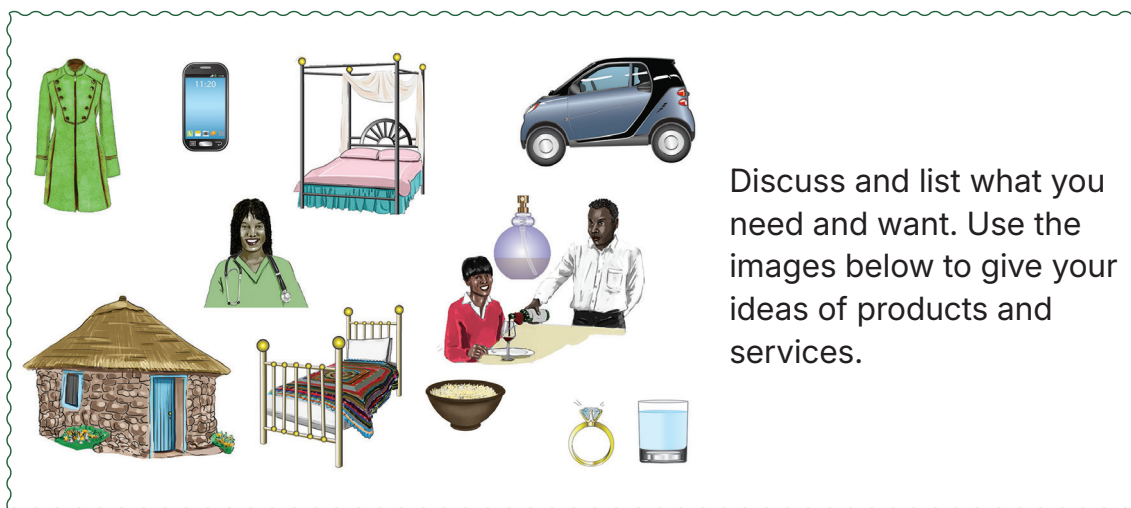
- Appreciate the importance of prioritizing essential needs over wants
- Show responsibility in managing limited resources
- Demonstrate honesty and fairness in consumption and choice-making

3.0 Introduction:

Every day, people make choices about what to buy, what to use, and how to spend their time and money. These choices depend on **needs**, **wants**, **goods**, and **services**. But because resources such as money, time, and natural materials are limited, people cannot satisfy everything they desire. This unit helps you understand these concepts and make wise decisions in your daily life.



Introductory activity



Discuss and list what you need and want. Use the images below to give your ideas of products and services.

3.1 Key Concept of needs & wants



Learning activity 1.1

1. Explain the meaning of the following terms:
 - a) Needs
 - b) Wants
2. Giving two examples of each category, differentiate between primary needs and secondary needs.



Figure 3. 1: Examples of needs and wants found in everyday life.

3.1.1. Meaning of needs and want

Needs are the things we must have in order to live and survive. Without them, life becomes very difficult or impossible. Examples of needs include food, clean water, shelter (a place to live), clothing, health care, etc.

Wants are things we would like to have, but we can live without them. They make life more enjoyable and comfortable, but they are not necessary for survival. Examples of wants include a smartphone, new fashionable clothes, sweets and snacks, going to the cinema, etc.

3.1.2. Primary and secondary needs.

Primary needs (also called basic needs) are those essential for human survival: things like food, water, shelter, clothing, air/breathing, sleep, and rest. Without satisfaction of primary needs, a person cannot survive or bodily systems will suffer.

These needs are generally innate or biological (we are born requiring them) rather than acquired or learned.

Secondary needs are things that make life **more comfortable, enjoyable, and easier**, but they are **not essential for survival**. We can live without them, but they improve our quality of life.

Examples of secondary needs

- **Education materials** (books, pens, school bag)
- **Transportation** (bicycle, motorcycle, bus fare)
- **Communication tools** (phone, radio)
- **Household items** (chairs, bed, mattresses, cooking stove)
- **Electricity** (lights, phone charging)
- **Entertainment** (games, music, sports equipment)
- **Better clothing** (fashionable shoes, jackets that are not basic necessities)
- **Improved shelter items** (tiles, sofa, curtains, decorations)
- **Technology** (television, computer)\



APPLICATION ACTIVITY 3.1

Draw a table with two columns: Needs and Wants. List 10 items from your daily life and classify them correctly.

3.2 Goods and services



Learning activity 3.2

Look around your school or home:

- Identify 5 goods.
- Identify 5 services.
- Explain how each one helps and satisfy needs or wants.

3.2.1 Meaning of goods and services

Every day we use many goods and services. Goods are products that we can see and touch. These include books, pens, shoes, hats, furniture and many other items. A service is an activity or work done for someone to satisfy a need or want without producing a physical product. Services are intangible, meaning they cannot be touched or stored. Examples: teaching, medical care, transport, hairdressing, banking.



Figure 3. 2: Hairdressing and road transport are examples of services.

3.2.2. Types of goods

a) According to life span/durability



- Durable goods are goods that last for a long time and can be used repeatedly. Examples: bicycles, furniture, radios, shoes.

Figure 3. 3: Furnitures durable goods because the last for long time,

- ii) perishable goods are those that spoil, expire, or get used up quickly. Examples of perishable goods include fruits, vegetables, milk, and bread.



while fruits are perishable because they spoil easily

b) According to scarcity

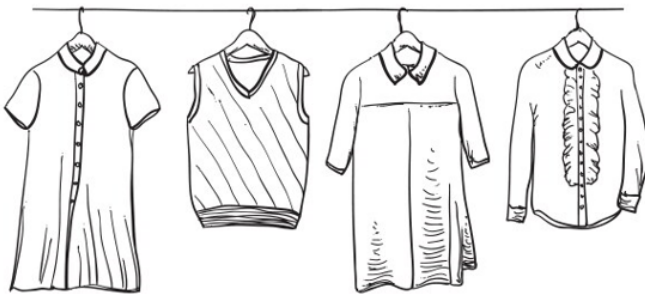


Figure 3. 4: Clothes are scarce, and have a price.

- i) Economic goods are goods that are scarce and have a price. People must pay to obtain them. Examples: clothes, fuel, books.

- ii) Free goods such as sunshine, fresh air, and rainwater are goods that are naturally available and do not have a price.



Figure 3. 5: Rainwater is an a free good

c) According to the use/utility

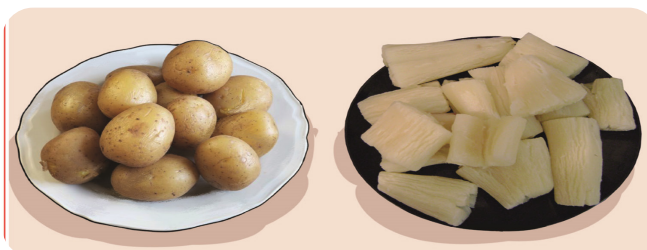


Figure 3. 6: When someone is hungry can choose to eat potatoes instead of cassava, and vice versa

- a) **Substitute goods** are goods that can replace each other because they serve the same purpose. You can therefore choose to buy one or the other good. When you are hungry you can substitute a banana with a sweet potato, but you cannot substitute milk with beer or a shirt with a pair of pants.

iii) **Complementary goods** are products that are typically **used together**. The use (or consumption) of one good increases the usefulness (or demand) of the other. In other words, if you buy good **A**, you often or almost always buy good **B** to go with it, because **A** by itself may not satisfy the need fully.

Good A	Complementary good B	Why they are complements / how used together
Printer	Printer ink cartridges	A printer alone is not useful without ink. You need both to print.
Car	Petrol (fuel)	A car typically uses petrol (or diesel) to run. Without fuel, a car is useless.
Bread	Butter (or jam)	Many people eat bread with butter or jam. The two go together in meals.
Mobile phone	Charger / SIM / Data plan	A phone needs a charger to recharge; or a SIM/data plan to access calls / internet.
Tea	Sugar (or milk)	Many drink tea with sugar or milk. They complement each other in taste or use.

Table 3. 1: Common examples of complementary goods

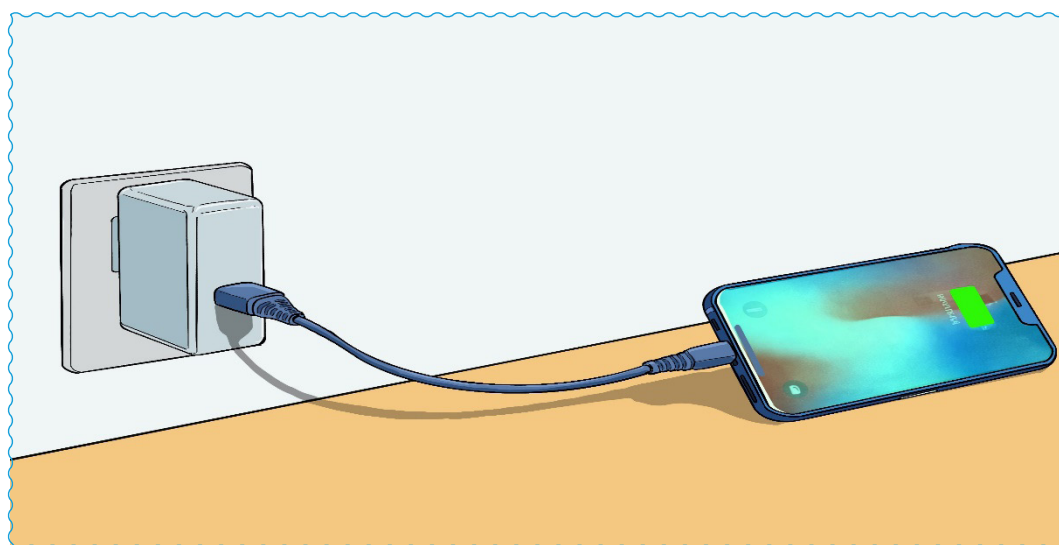


Figure 3. 7: A phone and charger are examples of complementary goods

d) According to decomposition

i) **Biodegradable goods:** These are materials that can be broken down naturally by microorganisms (like bacteria, fungi) or other natural agents (water, sunlight, oxygen, soil) so they eventually decompose and return to the environment safely.

ii) **Non-biodegradable goods:** These are materials that do not break down or take a very long time to degrade (hundreds or thousands of years). They resist decomposition, so when discarded they remain in the environment for a long time, often causing pollution.

Product	Time to biodegrade
Paper towel	2 – 4 weeks
Milk carton	3 months
Plastic bag	10 – 20 years
Tin can	50 – 100 years
Hard plastic	400 years
Glass bottles	Not determined

Table 3. 2: Examples of time it takes for some goods to biodegrade

Entrepreneurs need to sell products and services. They also need to be responsible citizens that care for our environment.

You can help to stop non-biodegradable products from filling up landfills by practising the three **Rs** of waste management: Reduce, reuse and recycle.

Reduce: only buy the things that you need. Use durable items rather than disposable items.

Reuse: find new uses for items, for example, a glass jar can be used to store other items.

Recycle: tin, glass and many other products can be converted back into usable material. Tin cans, for example, are melted and shaped into new sheets of tin.



APPLICATION ACTIVITY 3.2

- Match each item in **Column A** to the correct category in **Column B**.

Column A – Items	Column B – Categories
i. Banana	a. Durable good
ii. Wooden table	b. Perishable good
iii. Toothpaste	c. Service
iv. Radio	
v. Milk	
vi. Plastic bottle	
vii. Doctor's check-up	
viii. Barber service	

- Look around your home or school and list:

- Two durable goods you see.
- Two perishable goods you see.
- Two services provided in your community.

3.3. Relationship between different economic terms



Learning activity 3.3

Referring to meanings in sections above, explain relationships between needs, wants, goods, services, and scarcity.

Understanding how economic terms relate helps us make better decisions in everyday life. The concepts below are connected and influence how people satisfy their needs and wants.

Terms	Relationship Between the Terms	Typical examples
Needs and wants	Needs are essential for survival, while wants are things that make life more enjoyable but are not necessary. Both influence how people spend their money.	  (1) Food is a need (2) Ice cream is a want
Goods and services	Goods are tangible items that can be seen and touched, while services are intangible activities done to satisfy needs or wants.	  (1) Shoes are goods (2) shoe repair is a service
Scarcity and choice	Because resources are limited (scarcity), people must decide (make choices) on how to use what they have.	  A student with RWF 1,000 must choose between buying a pen or a snack.

Choice and opportunity cost	Every choice results in giving up something else. Opportunity cost is the next best alternative that is sacrificed when a choice is made.	 Choosing to buy a book instead of going to the cinema. The cinema visit is the opportunity cost.
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Table 3. 3: Relationships between different economic terms



Figure 3. 8: Scarce resources mean that we must make choices.



APPLICATION ACTIVITY 3.3

Murenzi has FRW 5,000 to use for one week. He needs food and school transport, but he also wants snacks and airtime. At the market, food is part of goods, while transport and airtime are services. Because his money is limited, he cannot buy everything he wants.

Task:

1. Identify Murenzi's needs and wants from the story.
2. Classify what he uses into goods and services.
3. Explain why Murenzi must choose some things and leave out others.

3.4. Factors influencing the consumption of goods and services



Learning activity 3.4

Outline any factors that influence the consumption of goods and services known to you.

There are many factors that influence how we consume goods and services. Those factors include the following:

a) Price

The price of a good or service influences how many you buy and how often you buy. Consumers want to buy goods and services as cheaply as possible. Sellers want to make as much money as possible so they want to charge as much as possible.

When the price of a product increases, consumers have a few choices. They either buy less of the product and/or they look for substitute goods. If they cannot buy less or find a cheaper alternative, then consumers save money on other products.

For example, let us say that the price of cassava increases. Consumers will look for alternatives to cassava. They may buy more rice or other staples. Since cassava is a primary need, consumers must buy the product (or an alternative). They will therefore have less money to buy other products that fill secondary needs.

b) Income

How much money a person earns also influences which products or services he or she buys. People who have a low income may only have enough money to satisfy their primary needs. People that earn a higher income can satisfy their primary needs and then choose to spend the remaining money on their secondary needs.

c) Tastes and preferences

"Tastes and preferences" means what people like or dislike. That is what they enjoy, what they value, what they consider good or useful. These come from many things: their culture, habits, family traditions, what their friends like, advertising, or what is popular at the time.

d) Culture

A culture is the characteristics of a particular society. Our culture is defined by our language, religion, food, music and art.

The goods and services that we consume therefore, also depend on our culture. Think, for example, of the music that you listen to. Do you think that a person living in New Zealand listens to the same artists? How about the food that you eat? Would a person living in Russia eat similar dishes?

e) Social structure



Figure 3. 9: Social structure of rural homestead is different from that of urban areas

We are all part of a family. Each family lives in a community that in turn is part of a country. Our social structure also determines how we consume goods and services. For example, people who are wealthy buy more luxury products. Teenagers buy more fashion wear and parents buy school books and other items for their children.

f) Fashion

Your style of clothing, hairstyle and accessories are determined by the current fashion. Fashion often spreads around the world. Today, many people in Rwanda wear similar fashions to people in London or Paris. Most cultures also have their own fashions, for example, popular music by local artists. A successful entrepreneur will always try to produce and sell products that are in fashion



Figure 3. 10: Fashion in clothing

g) Expectations

The way we feel about the future influences how we buy products and services. When we feel good about the future of our community or country, we often spend more money. For example, if a new shopping centre is being built in Kigali, entrepreneurs who open shops there are usually confident about finding customers. When we are concerned about the future, then we save our money and wait for better times.



APPLICATION ACTIVITY 3.4

Read the scenario below, and answer questions that follow.

Mukarukundo receives RWF 3,000 to spend in a day. Transport tariffs increase, so she decides to walk part of the way to school and uses the money to buy food. She does not buy snacks because she wants to save for school materials. At the shop, she pays the correct price and does not try to cheat the seller.

Questions:

1. Identify two factors that influenced Mukarukundo's consumption decisions.
2. Explain how price affected what Mukarukundo decided to buy.
3. Mention one action in the scenario that shows honesty.
4. Explain why honesty and fairness are important when buying goods and services.



3.5 END OF UNIT ASSESSMENT

3.5.1. Questions for assessment

A. Knowledge and Understanding

1. With clear examples, explain the meaning of the following terms:
 - a) Needs
 - b) Wants
 - c) Goods
 - d) Services
2. Differentiate between the following pairs:
 - a) Economic goods and free goods
 - b) Durable goods and perishable goods
 - c) Substitute goods and complementary goods
3. Explain how scarcity influences choice.
4. Briefly explain what opportunity cost is, using your own example.
5. Mention four factors that influence consumption of goods and services.

B. Skills

6. A student has FRW. 1,500. They want to buy bread (FRW. 1,000), airtime (FRW. 500), and a pen (FRW. 400). Because their money is not enough, they must choose.
 - a) Which items are needs, and which are wants?
 - b) If the student chooses to buy bread and the pen, what is the opportunity cost?
 - c) Explain whether the student made a wise choice.
7. The price of Irish potatoes increases in the market, and many families switch to cooking cassava instead.
 - a) What factor of consumption is shown in this example?
 - b) Identify the substitute goods.
 - c) Explain why people changed their consumption.

C. Attitudes and values

8. You have RWF 500. You planned to buy a soda, but your school exercise book is finished and you need a new one for class tomorrow.

Task:

Write 3–4 sentences explaining:

- a) What you would choose to buy.
 - b) Why this is the best choice.
 - c) How it shows that needs come before wants
9. At home, your family is saving electricity. You notice your sibling left the light on in an empty room.

Task:

Write what responsible action you should take. Then explain in 2–3 sentences how this action helps manage scarce resources.

10. You find a new pen on the ground in your classroom. No one is nearby. You could keep it or you could report it.

Task:

Write 3–4 sentences describing:

- a) What you would do.
- b) Why your action is fair and honest.
- c) How this behaviour helps your school community?



3.5.2. Project activity

Project goal: Learn to make smart decisions with a *limited, assumed amount* of money (FRW. 10,000).

Instructions

- i. List items you might want to buy (at least 8).
- ii. Label each as a Need or a Want.
- iii. Write an estimated price for each item.
- iv. Prioritize the items from most important to least important.
- v. Choose only the items you can buy without passing the FRW. 10,000 limit.
- vi. Give a short reason for each final item you choose.

What to submit?

- A list of items with Need/Want + prices
- A prioritized list
- A final list of items to buy with their respective prices (within FRW 10,000) + short explanations



UNIT 4: FINANCIAL AWARENESS

Key unit competence: You will be able to manage personal and business finances effectively to make informed financial decisions for sustainable growth.

Learning objectives: At the end of this unit, you will be able to:

Knowledge and understanding

- Explain the meaning and importance of finance in daily life and business
- Identify different sources of finance and their characteristics
- Describe the importance of saving, borrowing, and proper debt management
- Explain debt management tips
- Discuss proper finance management techniques
- Explain benefits and risks of using debit and credit cards of goods and services

Skills

- Apply strategies for saving, borrowing, and controlling expenses
- Evaluate different sources of finance
- Keep simple financial records and analyze spending habits
- Use debit and credit cards to manage funds

Attitudes and Values:

- Develop a sense of responsibility and discipline in handling money
- Value honesty and transparency in financial transactions
- Demonstrate a positive attitude toward saving and avoiding unnecessary debt
- Develop a responsible attitude toward money by spending carefully, reusing good items, keeping clear records, and keeping business and personal money separate.

4.0 Introduction:

Money plays an important role in our daily lives and in business. To use it wisely, we need to understand what finance is, where money comes from, and how to manage it well. In this unit, you will learn about saving, borrowing, managing debt, keeping simple financial records, and using debit and credit cards safely. These skills will help you make responsible financial decisions now and in the future.



Introductory activity

Read the scenarios below, and answer questions that follow.

Ruti is a learner. He lives far from his school and is planning to buy a bicycle.

Mugeni is a business owner. She delivers bread to many hotels and restaurants in Kigali and is planning to buy a delivery van.

Questions:

- a) Why do you think that Ruti would like a bicycle?
- b) Give ideas for how Ruti could pay for the bicycle.
- c) Why do you think that Mugeni would like a delivery van?
- d) Give ideas for how Mugeni could pay for the delivery van.
- e) Discuss the difference between the cost of things that a private person would like and the things that a business needs.
- f) What are the similarities between the things that a private person needs and the things that a business needs?
- g) Do you think that a business and a private person obtain (get) money to buy items in the same way? Explain your answer.

4.1. Concept of finance



Learning activity 4.1

1. What is finance?
2. Why do people or businesses need finance?
3. Give two sources of money for an individual.
4. Give two sources of money for a business.
5. How is personal finance different from business finance?
6. What are two ways people can get money when they don't have enough to buy something?

4.1.1. Meaning of finance

To make a **budget** we need to know where our money comes from. In a business, money can come from the sales of products or services. An individual usually earns money from a salary, or from providing goods or services. **Finance** is money or funds needed for business or personal reasons.

To make a budget, we also need to know the cost of things that we need or want to buy. If we do not have enough money to buy the things straight away, then we have different options. We can first save the money. We can also obtain money from other people who want to invest in a business or loans. Obtaining money to buy things for a business or a private person is called financing.

4.1.2. Need for finance

Many items that we want or need are very costly. Some things like a bicycle or a delivery van can help us to do the tasks that we need to do every day.



Figure 4. 1: Sometimes we need to buy useful items that are expensive

It is not easy to save large amounts of money. We therefore use loans from banks or ask other people to invest in a business so that we can obtain the money. This is called getting **financing**.

4.1.3. Personal and business finance



Figure 4. 2: We need money to buy the things that we want or need.

Personal finance means to manage money and plan for the future of an individual or a family unit. An individual needs to manage the salary that he or she receives. Costly personal items include buying a home, a car or paying for an education. Individuals also need to save up for **retirement**.

Business finance means to manage money and plan for the future of a business. A business earns money by selling goods and services.

The business needs money to buy raw materials, rent or buy buildings and to buy the machinery needed to produce the goods and services. A business owner usually wants to grow the business and needs to plan how much money is needed in the future.



APPLICATION ACTIVITY 4.1

1. Study the image below and answer the questions that follow.



- Explain the difference between personal and business finance.
- What do the family members in the figure 4.3 need to save up for?
How will these items benefit the family?
- What does the business owner in the picture need to save up for?
How will these items benefit the business?

2. Read the scenario and answer questions thereafter.

You want to buy a schoolbag costing FRW. 15,000. You only have 5,000 FRW.

- What are two things you can do to get the remaining money?
- Which option is better for you as a learner, and why?
- Explain how this situation shows the need for finance.

4.2. Accessing business finance



Learning activity 4.2

List at least 4 sources of finance to business that you know.

A business that needs money has two options. The owner can use his or her own savings. This is called equity. The owner can also borrow the money. This is called debt.

Business owners can obtain money from:

- Personal savings: This is money saved up by the business owner.
- Loans from banks and **micro lenders**.
- Selling a part of the business. This is called a share. A person that owns shares in a business is called a **shareholder**.
- **Relatives and friends** who want to invest in a business. This money can be a loan that must be repaid. The money can also be an investment that makes the relative a shareholder of the business.
- The government or other organisations that want to invest in the future of Rwanda. This money is paid as a **grant**. Most grants do not need to be repaid.
- **Trade credit**: A business owner who buys raw materials or products to sell can also ask for **trade credits**. A trade credit means that the supplier lets you pay for the products later. This is a short-term source of finance where a business buys goods or services from suppliers **without paying immediately**, instead paying after an agreed period (e.g., 30–90 days).



Figure 4. 3: Banks provide loans to businesses to finance their business activities



APPLICATION ACTIVITY 4.2

1. Think of a simple business you would like to start (e.g., popcorn selling, phone charging, crafts, farming, etc.).

Task:

- a) Write your business idea.
 - b) Choose two possible sources of finance you could realistically use.
 - c) Decide which source is **best** for your business and justify your choice.
2. Imagine you are advising a friend who wants to start a business but fears debt.

Task:

Write a short paragraph (4–5 sentences) advising them on:

- a) Which source of finance they should avoid.
- b) Which source they can safely use.
- c) How they should plan to reduce financial risk.

4.3. Saving and borrowing



Learning activity 4.3

1. Give three reasons why saving money is important in your daily life.
2. Choose one item you would like to save for. Explain how saving helps you get it without causing financial problems.
3. Describe one situation where saving can protect you during an emergency.
4. What do you understand by debt management?
5. Describe two reasons why managing debt properly is important for individuals and families.
6. Give one example of what can happen if someone fails to manage their debt well.

4.3.1. Saving

Saving is putting aside money in a safe place like a bank account, on a regular basis, so that you have a store of money saved up. People save to buy something expensive in the future, like a bicycle or a car.

People also save so they have money if there is an emergency. The best way to save money for something that you need or want is to set a savings goal.

Step 1

Write down what you want to save up for. Are you saving for education, a personal computer (PC) or a bicycle? Cut out pictures of the item that you are saving for and make a poster. This helps you to continue to save when you are thinking of using your money for other things.

Step 2

Calculate how much money you can save every month. Then divide the cost of the item into the number of months and calculate how many months you need to save for. For example, assume that you are saving up for a computer that costs FRW. 180,000 and you can save FRW. 12,000 per month. It will take you $(180,000 \div 12,000 = 15)$ fifteen months to save up for the computer.

Step 3

If you have a **savings account** in a bank, set up a **standing order**. A “standing order” is an instruction you give to your bank to send a fixed amount of money from your account to another account regularly (weekly, monthly, yearly, etc.). You can also ask a parent or other family member to keep your savings for you.

Step 4:

Look around for the best prices for the item that you want to buy.



Figure 4. 4: You can determine how long it will save to buy a bicycle.

4.3.2. Borrowing

To borrow money means to receive money on a temporary basis from an individual or a business. When we borrow money, we to pay it back at a later date. We also need to pay interest on the loan. Interest is money that the bank charges to lend you the money. We usually calculate interest as a percentage of a loan. If you borrow FRW. 100,000 at an **interest rate** of 10%, then you need to pay back FRW. 110,000.

a) Reasons for borrowing

People borrow money for many different reasons, especially when their savings or income at the moment are not enough. Common reasons include:

- **Emergency needs:** you can borrow to pay for medical bills, sudden illness, accidents, or unexpected expenses.

- **Education costs:** paying for school fees, tuition, learning materials, or exams when you don't have enough savings.
- **Large or big-ticket purchases:** buying items that cost more than you currently can afford (e.g. household goods, furniture, electronics, home appliances, maybe a vehicle).
- **Home improvements or housing needs:** repairs, renovations, building or improving a house, or paying for accommodation.
- **Starting a business or investment:** using borrowed funds to start or grow a business, buy equipment, or invest in income-generating activities.
- **Debt consolidation:** borrowing to pay off multiple smaller debts, combining them into one loan for easier repayment or better interest terms.

b) Common terms and conditions when borrowing

When you borrow from a bank, microfinance institution, or formal lender, there are several standard terms and conditions that regulate the loan. Among them:

- **Loan amount and purpose:** the contract states how much you borrow and often what the loan is for (personal use, business, home improvement, etc.).
- **Interest rate/cost of borrowing:** you pay interest on top of the borrowed amount. The interest rate determines how much extra you pay over time.
- **Repayment schedule/loan term:** when and how you must repay: number of instalments, how often (monthly, quarterly...), and over how many months or years.
- **Fees / processing charges (if any):** some loans include upfront costs: application fee, administrative charges, or other costs associated with disbursement.
- **Conditions for default/consequences of non-repayment:** the agreement may specify what happens if you fail to pay back: additional charges, penalties, legal consequences, etc.
- **Purpose and use (sometimes monitored):** in some loans (especially business or investment loans), the lender may require that the funds be used for the stated purpose. This helps ensure the loan fulfils its intended goal.
- **Borrower eligibility/documentation:** lenders usually check borrower's ability to repay (income, job, savings, credit history), sometimes require identity or collateral depending on loan type.

c) Debt management

Managing debt well helps you stay in control of your money and avoid financial stress. By making smart choices about borrowing and spending, you increase your chances of being debt-free and secure. The following are recommended tips:

- **Avoid unnecessary spending:** don't spend money on things you don't need.
- **Don't borrow more than you can afford:** only borrow what you realistically can repay.

- Don't buy expensive or non-essential items while you still have debt: avoid adding new costs when you're already paying off debt.
- Create and follow a budget: track income and spending to know what you can afford.
- Save for emergencies: build a small savings fund so you don't need to borrow when unexpected costs arise.
- Prioritize paying off existing debt: handle repayments first to avoid interest accumulation and further financial stress.



APPLICATION ACTIVITY 4.3

Read the two situations:

Situation A: You want a new school bag because your old one is torn.

Situation B: You want expensive headphones because your friend has them.

For each situation, answer:

- a) Should you borrow or save?
- b) Give one reason for your choice.
- c) Explain how good debt management helps you avoid problems in that situation..

4.4. Proper management of finance



Learning activity 4.4

1. List five ways you could reduce your personal or household expenses using examples from the lesson.
2. Find at least three items at home that are still in good condition and can be reused instead of thrown away. For each item, write down how you will reuse it and how this reuse helps you save money and reduce waste.
3. Discuss why a business should keep proper records of its money and separate personal from business finances..

4.4.1. Reduce expenses

You can reduce costs by only buying things that you need. When you buy items such as clothes or shoes that will last a long time, you do not have to replace them often. For example, one good suit is better than three poorly made suits. You can also reduce expenses by:

- Using public transport such as buses instead of driving in a car
- Repaying debt as soon as possible to avoid having to pay a lot of interest
- Saving on electricity by always turning off the light when you leave a room and by turning off the water heater during the day.
- Making use of inexpensive entertainment such as the library or public parks
- Cooking at home rather than eating at a restaurant
- Growing your own fruit and vegetables and raising chickens for meat and eggs.

4.4.2. Reuse items that are still in good condition

Take good care of machines, cars and expensive items so that you can use them for a long time.

Reusing items that are still in good condition means using an item again after its first use instead of throwing it away and buying a new one.

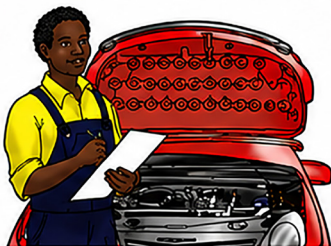


Figure 4. 5: Items that last longer can be used for more than once

It can be used for the same purpose (like using a clean container again) or given to someone else who still needs it. Reusing helps **save money** because you do not spend on a new item, **reduces waste** going to landfill, and **conserves natural resources and energy** that would be needed to make a new product. Reuse is different from recycling because the item is used again without being broken down first.

4.4.3. Proper record keeping

A successful business keeps information about many things. We say that the business keeps records. Here are some examples:



A record of maintenance to a vehicle means that we can see when it needs to go to the mechanic again.



A record of hours worked means that you can see how much you need to get paid.



A record of stock (the goods kept at a shop for resale) means that you can check that there is no theft.



A record of money earned or spent in a business means that you can see how well a business is doing.

Figure 4. 6: Proper management of finance requires proper record keeping

4.4.4. Separating personal finance from business finance

Separating personal and business finances means keeping your personal money and records (like your salary, household expenses, savings) completely separate from the money and financial records of your business. This practice is important for several reasons:

- **Easier and clearer bookkeeping:** Keeping business income and expenses in their own account makes it simpler to track what the business is earning and spending. You avoid confusion when reviewing financial records.
- **Simplified tax preparation:** When business transactions are kept separate, tax reporting becomes easier. You can clearly identify business expenses and income.
- **Legal protection of personal assets:** If your business is sued, defaults on a debt, or is involved in legal trouble, separating finances helps protect your personal savings and property from being taken to pay off what the business owes.
- **Better financial management and budgeting:** With separation, you can clearly see each set of finances (personal and business) which makes it easier to manage budgets, plan for expenses, and make informed decisions.
- **Easier exit or sale of business:** If you later decide to sell your business, separate books provide a clear picture of the business' true financial performance, which can make the sale process smoother.

4.4.5. Keeping simple financial records of personal spending

Keeping financial records means writing down the money you get and the money you spend. It helps you know where your money goes and how much you have left. You can keep these records in a small notebook.

Each time you get or spend money, you should record: the date, what the money was used for, the amount received, the amount spent, and the balance remaining. This is important because it helps you avoid wasting money, enables you to save for your needs, and guides you to make good financial decisions.

Example:

Assume that a learner receives FRW 1,000 as pocket money at the start of the week. Record the expenses for the week.

Date	Description	Money received (FRW)	Money spent (FRW)	Balance (FRW)
Monday	Pocket money received	1,000	–	1,000
Tuesday	Bought a snack	–	300	700
Wednesday	Bought an exercise book	–	500	200
Thursday	Saved money	–	–	200

Explanation:

- On Monday, the learner records the money received (FRW 1,000)
- On Tuesday, FRW 300 is spent on a snack, so the balance becomes FRW 700
- On Wednesday, FRW 500 is spent on an exercise book, leaving FRW 200
- On Thursday, no money is spent, so FRW 200 remains as savings



APPLICATION ACTIVITY 4.4

For one week, keep a money record of all the money you spend and why you spent it. At the end of the week, total your expenses and identify at least two costs you could reduce next week (like buying cheaper alternatives or avoiding unnecessary purchases). Record this in a table.

4.5. Benefits and risks of using debit and credit cards



Learning activity 4.5

1. Draw a simple table with two columns labelled Debit card and Credit card. In each column, write three benefits and three risks of using that card based on what you learned.
2. Answer the following statements by True or False:
 - a) Using a credit card can help build a credit history.
 - b) Using a debit card helps you avoid borrowing money because you can only spend what you have.

- c) Debit cards never have any fees associated with them.
- d) Both debit and credit cards allow you to track your expenses electronically.

4.5.1. Benefits of using debit and credit card

Today, many people prefer to use cards instead of cash. It is easy to steal cash. A card has a secret code, called a **PIN (Personal Identification Number)**. You can only use the card if you know the PIN. It is therefore safer to use a card than cash.

a) Debit card

A **debit card** is also called a bank card. It is a small plastic card that can be used to draw money out of your account. The card has a chip or a magnetic strip where the bank account information is stored. Some debit cards show the name of the card holder and the card number; others are blank cards that only have this information in the magnetic strip.

Benefits of debit cards:

• Helps you control spending because you can only use money you already have. • Convenience: easy to pay in shops, online, or to withdraw cash without carrying cash.	• Makes it easier to track expenses since transactions are recorded. • Safer than cash: you can block a lost card and often get refunds for unauthorized use.
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b) Credit card

A **credit card** looks similar to a debit card. A debit card uses money that you already have in an account. When you pay with a credit card you are borrowing **credit** from the bank. This means that the bank has agreed to a certain amount that you can use, but you must pay it back. If you do not pay back all the money back at the end of the month, the bank charges interest on the money owed.

Benefits of a credit card:

• It allows borrowing facility: buy now and pay later within a billing period. • It can help you build a credit history when used responsibly.	• Fraud and purchase protection: easier to dispute unauthorized charges and get refunds. • Many credit cards offer extra perks (like rewards, extended warranties, travel benefits).
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Using debit and credit cards

We use debit and credit cards in the same way. Shops have point of sale machines where you can either swipe the card or insert the card so that the machine can read the chip.



Figure 4. 7: Many shops accept credit and debit cards as payment.



Figure 4. 8: Keep your PIN secret.

You can also use a card to withdraw cash from an ATM (Automated Teller Machine).

To use a card, you need to have a PIN number. This is a secret number that only you must know. If another person knows your PIN number, they can use your card to withdraw cash or buy goods. You must therefore always take care that no one sees your number when you use your card.

To use a debit and credit card properly:

- Always keep the card clean and ensure that the magnetic strip is not scratched.

- Be careful when withdrawing money at an ATM. Do not tell your PIN code to anyone.
- Keep a record of the money in your account. You can only draw the money in your account from a debit card. When using a credit card, ensure that you do not spend money that you cannot pay at the end of the month.

4.5.2. Risks of using debit and credit card

There are risks associated with using debit and credit cards. The following are examples:

Debit card:

- **Limited fraud protection:** if someone steals your card details, money may be taken directly from your account before the card is recovered.
- **Overdraft or banking fees:** if transactions exceed your available balance, you pay for banking fees.
- **Does not help build credit history:** when you use a debit card, you do not build credit history because you are not borrowing money.
- **Technical issues** (like declined cards or machine problems) can prevent payments.

Credit card:

- **Debt accumulation:** spending more than you can repay leads to debt.
- **High interest rates** if balances aren't paid in full each month.
- **Fees and penalties** (late payment, annual or overlimit fees) add to cost.
- **Credit score impact:** late payments or high balances can lower your credit rating.



APPLICATION ACTIVITY 4.5

1. Create a small poster titled "Tips to use a Smart Card" with at least five tips on how to use debit and credit cards wisely. Base your tips on the benefits and risks you learned.
2. You want to buy school supplies but have limited cash," or "You need to buy a textbook online but do not have enough money right now. For each scenario:
 - a) Write a sentence saying which card you would use (debit or credit), and
 - b) Why would you use that card (mentioning at least one benefit or one risk)?



4.6. END OF UNIT ASSESSMENT

4.6.1 Questions for assessment

A. Knowledge and understanding

1. Discuss any three reasons why finance is important in both daily life and business.
2. Explain in your own words:
 - a) Why people save.
 - b) Why people borrow.
 - c) Why managing debt is important.
3. List five tips for managing debt wisely. For each tip, write one sentence explaining why it is important.

B. Skills

1. You receive FRW 10,000 every week for personal use.
 - a) Prepare a one-week budget
 - b) How will you avoid unnecessary spending?
 - c) Defend two reasons why your plan is realistic.

2. Given the three situations below, decide whether a debit card or credit card is more appropriate and justify your choice:

- a) Buying groceries.
- b) Paying for an online emergency repair.
- c) Purchasing a laptop when you don't have full cash at the moment.

C. Attitudes and values

1. You receive FRW 5,000 from a relative for lunch at school. On your way, you see snacks you like, and your friends are spending all of their money immediately.

Questions:

- a) What would you do in this situation?
 - b) Which responsible money behaviours would you apply?
 - c) Explain how your choice helps you avoid future financial problems.
2. A shopkeeper accidentally gives you FRW 2,000 more in change. You notice this after leaving the shop. A friend tells you to keep it because "it's the shopkeeper's mistake."

Questions:

What would you do in this situation?

- a) Why is honesty the best choice here?
 - b) Explain how your behaviour builds trust in financial transactions.
3. You run a small school mini-business selling juice. You realise that some personal spending is mixed with the money meant for the business. You also notice you keep buying new bottles instead of reusing the ones you already have.

Questions:

- a) What steps would you take to correct this situation?
- b) Which items could you reuse to reduce costs?
- c) Why is keeping clear financial records important for the business?
- d) Explain why mixing personal money with business money can cause problems.



4.6.2. Project activity

- a) Find 2–3 common money problems young people face.
- b) Make a poster or write a short message teaching how to:
 - i. Save money
 - ii. Borrow wisely
 - iii. Avoid debt
- c) Keep it clear and simple (short sentences or drawings).

Write 2–3 sentences on what you learned about good money habit



UNIT 5: INITIATION TO ACCOUNTING

Key unit competence: You will be able to explain basic accounting concepts and justify the importance of accounting in a business.

Learning objectives: At the end of this unit, you will be able to:

Knowledge and understanding

- Distinguish between accounting and bookkeeping
- Describe the importance of keeping accounting records
- Identify the various users of accounting information
- Distinguish between cash and credit transactions
- Identify the various modes of payment

Skills

- Assess the importance of keeping records
- Select the appropriate mode of payment
- Make payments using appropriate modes of payment

Attitudes and Values:

- Appreciate the importance of keeping accounting records for a business
- Show responsibility and integrity in choosing and using payment methods

5.0 Introduction:

Accounting helps us understand how money moves in a business. To manage a business well, we need to know what accounting is, why it is important, and how financial information is recorded. In this unit, you will learn the meaning of accounting and bookkeeping, the users of accounting information, the types of business transactions, and different modes of payment.



Introductory activity

Read the scenarios below and answer the questions that follow:

Scenario 1:

Kaneza records every sale and purchase in a notebook, but her sister Kanyana prepares reports showing whether the business made a profit or a loss.

- a) What difference can you observe between bookkeeping and accounting?
- b) Why do you think it is important for Kaneza and Kanyana to keep proper accounting records?
- c) Who might need the accounting information they prepare? Mention at least two users.
- d) Scenario 2:

Kanyarwanda bought a textbook and paid immediately. Later, he bought shoes from a shop and was allowed to pay after one month.

Question:

What is the difference between a cash transaction and a credit transaction?

Scenario 3:

A small business receives money through cash, mobile money, and bank transfers.

Question:

List two different modes of payment shown in the example.

5.1. Meaning of accounting and bookkeeping



Learning activity 5.1

1. What do you understand by the following terms?
 - a) Accounting
 - b) Bookkeeping
2. Explain one difference between bookkeeping and accounting.
3. Muneza owns a small retail shop in his village. Every day, he sells goods and buys new stock. He records all the money he receives from sales and all the money he spends in a simple cash book. At the end of the month, John uses these records to find out whether his business made a profit or a loss.

The records also help him know how much stock he has and how much money customers owe him.

Question:

Using the scenario above, explain two reasons why it is important for John to keep accounting records.

Accounting is a systematic process of identifying, recording, classifying, summarising, analysing, interpreting and communicating financial information about a business or organization so that users (like managers, investors, creditors, and others) can make informed decisions about the entity's performance and financial position.

When we buy and pay for a product or service, we receive a receipt. The receipt tells us what we have bought and how much money we have paid.

In a business we must write a receipt when we sell a product or accounting to manage service. A business owner must also write a pay slip that shows each our personal finances. employee how much money they have earned and what deductions have been made.

When we keep the receipts for goods and services that we have bought and add up the amounts on the receipts, we can see how much money we have spent. From the receipts that we give to our customers, we can also see how much money we have earned. The system that we use to add up receipts and store the information is called bookkeeping.

Bookkeeping is part of accounting. It involves keeping and maintaining the books of accounts. It is routine work. Bookkeeping means recording all financial transactions in accounting books of a business in a clear and orderly way. The transactions are identified, recorded, and grouped in different books.

The difference between bookkeeping and accounting

Bookkeeping is keeping a record of the money that we have spent and received. Accounting uses the information from bookkeeping to make financial reports, often called financial statements. These reports have information that the owner of the business can use to plan for the future. The statements are also important because the government and other stakeholders want to see how much money the business makes.



APPLICATION ACTIVITY 5.1

1. Read the situation below and answer the questions.

A small shop sells notebooks and pens. Every day, the owner writes receipts for customers and keeps them in a file. At the end of the month, the owner adds all receipts to know how much money was earned and spent.

- a) Identify two bookkeeping activities in this shop.
 - b) Explain how accounting helps the shop owner plan for the future.
- 2 State whether each activity below is bookkeeping or accounting:
- a) Writing a receipt
 - b) Preparing an income statement
 - c) Keeping sales records

5.2. Importance of accounting and users of accounting information



Learning activity 5.2

1. Give three reasons why accounting is important in a business.
2. How does accounting help a business control its money?
3. What do we mean by users of accounting information?
4. List two internal users and two external users of accounting information.

5.2.1. Importance of accounting

Accounting is an essential part of every business because it helps record, organize, and understand financial activities. It provides clear information about how money is used and supports good decision-making. Below are some key reasons why accounting is important.

- a) **Tool of control:** accounting helps businesses monitor their income, expenses, assets, and debts to ensure proper management.
- b) **Calculation of profits and losses:** accounting shows whether the business is making a profit or a loss through prepared financial statements.
- c) **Tool for business evaluation:** accounting provides information that helps owners assess the financial health, growth, and overall performance of the business.
- d) **Supports decision-making:** accounting gives reliable data that managers use to plan and make informed choices.
- e) **Ensures proper record-keeping:** accounting keeps an accurate and organized record of all financial transactions.
- f) **Helps meet legal requirements:** accounting assists in preparing reports needed for taxes and other government regulations.

5.2.2. Users of accounting information

Accounting information is useful to many people who need to understand how a business is performing. These users rely on financial records to make decisions, plan for the future, and evaluate the business's stability.

a) Internal users

These are people inside the business who use accounting information to run the organization:

- **Employees:** employees use accounting information to know if the business is stable and can continue paying salaries.
- **Shareholders:** accounting information helps people or organizations that own part of a company to check if the business is profitable and their investment is safe.
- **Managers:** managers need accounting information to make decisions, plan budgets, and control business operations.

b) External users

These are organisations and people outside the business who use accounting information for decision-making:

- **Competitors:** competitors analyze accounting information to:
 - i. Identify sources of materials and key business practices.
 - i. Obtain information useful for economic and performance comparisons.
 - ii. Assess the strengths and weaknesses of their own businesses in relation to others.
- **Suppliers:** individuals, businesses, or organizations that provide goods, raw materials, or services use business accounting information to know if the business can pay its debts on time.
- **Banks and other financial institutions:** financial institutions such as banks, Saving and Credit Cooperatives (SACCO) to decide whether to give loans.
- **Government authorities (regulatory bodies):** Government authorities such as Rwanda Revenue Authority, Rwanda Development Board, Rwanda Cooperative Agency need accounting information to check taxes, regulations, and compliance.
- **Creditors:** creditors use accounting information to:
 - i. Determine a business's ability to pay for goods purchased on credit when they become due.
 - i. Evaluate the creditworthiness of a business.
 - ii. Judge whether the business can continue operating as a going concern for a reasonable period.
- **Financial analysts:** financial analysts rely on accounting information to:
 - i. Evaluate the performance of a business in comparison with other companies.
 - ii. Assist clients in making informed strategic and investment decisions.
- **Tax authorities:** Tax authorities use accounting records to:
 - i. Ascertain the taxable profits of an organization.

- ii. Assist in the assessment and collection of taxes.
- iii. Determine assessable income and tax liabilities accurately.
- **Customers:** Customers use accounting information to:
 - i. Determine whether a business is financially stable and likely to continue operating.
 - ii. Assess the company's ability to provide quality products and reliable services over time.
- **Researchers:** researchers and scholars use accounting information for academic studies in accounting theory, business practices, and economic analysis.



APPLICATION ACTIVITY 5.2

1. Discuss the importance of accounting for a business owner who wants to know whether the business is making a profit.
2. Match each user with how they use accounting information:

i. Manager	a) To decide whether to give a loan
ii. Bank	b) To check taxes and legal compliance
iii. Government authority	c) To plan and control business activities
iv. Customer	d) To know if the business will continue operating

5.3. Types of business transactions



Learning activity 5.3

1. What is a business transaction?
2. State two types of transactions based on:
 - a) Nature of activity
 - b) Mode of payment
3. Explain the meaning of:
 - a) Cash transaction
 - b) Credit transaction
 - c) Instalment payment

Business transactions can be grouped in different ways to help us understand how a business operates and how money flows in and out. They can be classified based on the nature of the activity and the mode of payment, as shown below.

Basis of classification	Type of transaction	Meaning
By nature of the activity	Sales transactions	Transactions where a business sells goods or services to customers.
	Purchase transactions	Transactions where a business buys goods or services for use or resale.
By mode of payment	Cash transactions	Payment is made immediately when goods or services are received. Payments can be effected using coins, notes, cheques, or electronics payment means. Cash transactions may also involve prepayment (paying before receiving goods or services). E.g.: Paying school fees before the term starts.
	Credit transactions	Goods or services are received now and paid for at a later agreed date.
	Instalment payment	Total cost is paid in small amounts over a period of time.

Table 5. 1: Meaning of types of business transactions based on different basis of classification



Figure 5. 1: A business transaction happens when a business sells a product or service.

Cash and credit transactions are commonly used in business. Each has its own benefits and challenges, which affect how individuals and businesses manage their money. Understanding advantages and disadvantages of different modes of payment helps you to make better financial decisions.

Mode of payment	Advantages	Disadvantages
Cash transaction (using coins and notes, cheque, direct bank deposit, credit or debit card, mobile money transfer, etc.)	- Simple and quick - No interest charges - Easy to record and control	- Requires immediate cash - Limits purchase of expensive items
Credit transaction	- Allows buying without immediate cash - Increases sales for businesses	- Risk of non-payment - May involve interest - Needs careful record keeping

Instalment payment	• Makes costly items affordable • Helps budgeting	• Higher total cost due to interest • Penalties for late payments
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Table 5. 2: Advantages and disadvantages of various modes of payment



APPLICATION ACTIVITY 5.3

Read the situations below and answer the questions.

1. A learner pays school fees before the term starts.
2. A shop buys goods today and agrees to pay after 30 days.
3. A family buys a television and pays a small amount every month.

For each situation:

- a) Identify the type of transaction.
- b) Defend one advantage and one disadvantage of that transaction.



5.4. END OF UNIT ASSESSMENT

5.4.1. Questions for assessment

A. Knowledge and Understanding

Answer the following questions:

1. State two differences between accounting and bookkeeping.
2. Give three reasons why keeping accounting records is important for a business.
3. Identify three users of accounting information and state one use for each.
4. Using typical examples, distinguish between the following types of business transactions:
 - a) Cash transaction
 - b) Credit transaction
 - c) Instalment payment

B. Skills

Answer the questions below carefully.

1. A learner pays school fees in advance using a bank transfer.
 - a) Identify the mode of payment used.
 - b) Give one reason why this mode of payment is appropriate.
2. Study the situations below and answer the questions that follow:

Situation A: A shop owner buys goods and pays immediately.

Situation B: A shop owner buys goods and agrees to pay after one month.

- a) Identify the type of transaction in each situation.
 - b) State one advantage of each transaction.
3. Tick (✓) the most appropriate mode of payment for each case:
 - a) Buying items from a nearby shop
 - b) Paying electricity bills
 - c) Buying a mobile phone and paying slowly over time
 4. Explain one way keeping proper records helps a business owner manage money better.

C. Attitudes and values

1. A small shop owner sells goods every day but does not write down how much money is received or spent. At the end of the month, the owner is confused about whether the business made a profit or a loss.

Questions:

- a) What problem is the shop owner facing?
 - b) What responsible behaviour should the shop owner practice?
 - c) How does keeping proper records help a business grow?
2. Mugwaneza buys a school uniform and chooses to pay using instalments even though she can afford to pay in cash. Later, she struggles to complete the instalment payments.

Questions:

- a) What mistake did Marie make?
- b) Which payment method would have been more responsible?
- c) What lesson can you learn about choosing payment methods?



5.4.2. Project activity

Project name: My payment choices

Identify three purchases you have made or plan to make, specify the mode of payment for each, and explain one reason why each payment method is appropriate. Thereafter, submit a brief written work showing the three items, your corresponding payment methods, and the justification for each choice, demonstrating your ability to make informed financial decisions.



UNIT 6:

FACTORS AND INDICATORS OF BUSINESS GROWTH

Key unit competence: You will be able to explain factors that influence business growth

Learning objectives: At the end of this unit, you will be able to:

Knowledge and understanding

- Explain the meaning of business, growth, and business growth
- Identify factors contributing to or restraining business growth
- Identify indicators of business growth or business failure

Skills

- Assess factors for business growth or business failure
- Analyse indicators of business growth or business failure
- Suggest strategies/solutions to overcoming the constraints of business growth

Attitudes and Values:

Appreciate that business growth depends on proper business operations

6.0 Introduction

This unit introduces learners to **indicators and factors of business growth**. It explains what business growth means, the factors that help a business grow, and the challenges that can slow it down. The unit also helps you identify signs that show whether a business is growing successfully or facing failure.



Introductory activity

1. Hirwa is a man who started a small boutique (shop) in his village in the Southern Province with only FRW. 100,000. At first, his wife and children helped run the shop when he was not there. Hirwa worked hard and gave good customer care, so more people came to buy from him. After four years, his money (capital) had *doubled* and he was making much more profit. Because his business was doing well, he opened two more shops in other districts and employed five skilled workers. He now has many customers and sells many items. Hirwa is also thinking about starting a wholesale shop in Kigali, but he is not sure if it will succeed.

Questions:

Referring to the above case study, answer the following questions:

- a) Is Hirwa's business growing, or declining?
 - b) Differentiate between a growing business from a declining business
 - c) What factors have favored the growth of his business?
2. In your understanding, what are signs of business failure?

6.1. Meaning of business growth and factors contributing to business growth



Learning activity 6.1

1. What do you understand by business growth?
2. Below is a table with two columns. In the left column, write three things that help a business grow (factors contributing to growth). In the right column, write three things that can stop or slow a business from growing (factors restraining growth):

Factors contributing to growth	Factors stopping growth)
---------------------------------------	---------------------------------

- | | |
|----------|----------|
| 1. _____ | 1. _____ |
| 2. _____ | 2. _____ |
| 3. _____ | 3. _____ |

Then in the space below, explain why one of your choices in each column can help or stop a business from growing:

One contributing factor:

One stopping/challenging factor:

6.1.1. Meaning of business growth

As human beings, there are many different ways to grow. Every one of us starts to grow as soon as we are conceived. This growth is physical; we grow taller and develop into young men and women.

We also grow mentally and emotionally. We learn to believe in our own abilities and to manage challenges in life.

On the other hand, **business growth** is when a business increases in size, sales, profit, or customers over a period of time. A growing business becomes stronger and more successful. From the definition, business growth refers to the measurable expansion and improvement of a company over time. It is a positive change that makes a business stronger, more competitive, and more valuable.

For instance, Enterprise Urwibutso shows business growth by expanding from a small bakery shop in the 1980s into a large agro-processing company that now produces a wide range of products like juices, banana wine, the famous Akabanga chili oil, and more, employs hundreds of people, works with thousands of local farmers, and sells its products nationally and internationally, demonstrating increases in size, sales, and market reach over time.



Figure 6. 1: Product diversification is one of the symptoms of business growth

6.1.2. Factors contributing to business growth

Some things help a business to grow and succeed. These are called factors contributing to business growth. Some of these factors are discussed below:

a) Clear objectives: Setting specific objectives gives direction to the business and helps everyone understand what the business wants to achieve. Clear targets help guide decisions and keep efforts focused on growth. Example: A small bakery sets a goal to open two new branches in Kigali by next year and increase sales by 20%. Because they have this clear plan, they save money, hire more staff, and track progress toward their goals.

b) Proper business location: The business must be in the right place, that is where customers can easily access your products or services. This increases its visibility and sales opportunities. Example: A juice stall placed next to a busy bus station gets more customers than one hidden in a quiet street, because more people see and buy from it. This example shows how location increases sales.



Figure 6. 2: Businesses selling coffee, food, and clothes locate in the Kigali free zone because the place is always busy

a) Presence of business support services like banks, insurance companies, telecommunication companies, etc. This also determines the business growth.

b) Access to capital and good finances: Having enough funding and good financial management allows businesses to invest in growth opportunities like inventory, equipment, or marketing. Example: A small shop owner takes a loan to buy more stock before Christmas. Because when he or she has extra capital to buy popular items, he or she makes more sales during the holiday season.

c) Marketing and customer base growth: Effective marketing attracts new customers and helps maintain existing ones, which boosts sales and growth. Example: A café starts posting pictures of its drinks on social media and offering discounts, which brings in new customers and increases sales.

d) Innovation and adapting to change: Businesses that innovate in their products, services, or processes can stay competitive and open new revenue streams. Example: A phone accessory shop begins selling custom-designed cases after seeing customers ask for unique styles: This innovation attracts more buyers.

e) Strong management and planning: Good leadership and structured planning help businesses make smart decisions and stay organized as they grow. Example: A small grocery store with a manager who organizes stock well and trains employees sees fewer wasted items and happier customers, which supports growth.

f) Quality of workers: The quality of workers in terms of skills, trainings, experience and commitment is a factor of business growth.

g) Favorable government policies: Government policy may directly affect business growth.

Favorable government policy like low taxes, tax holidays, subsidies, etc. determine the growth of a business.

J)Availability of market: The market plays a big role in determining the success of a business. A big and reliable market helps a business to grow. More buyers will mean more sales and more revenue for the business.



APPLICATION ACTIVITY 6.1

Read the short business scenario below. Then answer the questions that follow.

Scenario

A small grocery shop was opened last year in a busy neighbourhood. At first, many people bought goods from the shop. The owner advertised using posters and messages to local customers. However, over time, the shop began to face problems. The owner started using money from the business for personal needs, and sometimes did not buy enough stock. Also, the owner did not keep records of sales and expenses. Now the shop makes fewer sales than before and sometimes runs out of goods.

Questions

1. List two factors in the scenario that helped the business grow.

- a) _____
- b) _____

2. List two factors in the scenario that could cause the business to fail.

- a) _____
- b) _____

Write two sentences explaining why each of the factors you listed in question 2 could make the business fail.

- i. _____
- ii. _____

6.2. Constraints to business growth



Learning activity 6.2

Read the scenario below and answer the questions:

Scenario:

A small tailoring business in the village has few customers. The owner knows how to sew but does not know how to market his services.

He also finds it hard to save money to buy good quality material. There are several other tailors nearby who charge lower prices. This year, he has only a few new customers and sometimes runs out of materials.

Questions:

1. List two factors in this scenario that slow business growth.
 - a) _____
 - b) _____
2. Write one sentence to explain how each factor you listed can slow the business down.
 - a) _____
 - b) _____
3. Suggest one way the tailor could try to improve his situation.

When a business is starting or trying to grow, it may face several challenges that slow down its progress or even cause it to fail. These problems often make it hard to increase sales, attract customers, and become more successful. The following are some factors that delay business growth.

a) Poor handling of customers

When a business does not treat its customers well, for example being unfriendly, slow, or careless, customers stop coming back. Happy customers help a business grow by buying more and telling others to come too. **Example:** When a shoe seller gets rude when customers ask questions. People feel unhappy and go to another shop where they are treated nicely. The shop loses customers and does not grow.

b) Poor management of business stock

Stock means the goods the business has to sell. If the owner does not keep good records of the stock or buys too much or too little, the business may lose money. Too much stock can get old or go bad, and too little means no goods to sell. **Example:** A grocery store owner buys too many packs of biscuits that don't sell fast. After a long time, they spoil. Because the owner wasted money on bad stock, the business cannot grow.

c) Misuse of business finance

This means using the business money for wrong things like buying personal items, not saving, or spending carelessly. When money is not used wisely, the business may not have enough to buy goods or pay bills, and growth stops.

Example: A barber owner takes money from the business till to buy clothes for personal use instead of buying new hair products. Soon there isn't enough money to buy soap and shampoo for customers, so business suffers.

d) Lack of enough money (Insufficient capital)

When a business does not have enough money (capital), it cannot buy enough goods to sell, pay bills, hire staff, or expand its operations. Many small businesses struggle to get loans or investors, leaving them unable to grow.

Example: A clothes shop wants to buy more shirts before the Christmas season but has no savings and the bank refuses a loan. Because it cannot buy more stock, it misses out on many sales.

e) Strong competition

Strong competition means many other businesses sell similar products or services, making it hard to keep customers. Customers may buy from competitors that have lower prices or better quality.

Example: A fruit juice seller opens next to two other juice stalls that sell cheaper and better-flavoured drinks. Most customers choose the competitors, so the original seller's sales stay low.

f) Low demand for products

Low demand means few people want to buy what the business sells. If customers don't need or like the product, sales stay low and the business cannot grow.

Example: A shop stocks imported snacks that most local customers don't prefer or cannot afford. Because few people buy them, the shop makes very little money and cannot expand.

g) Lack of skills and experience

A business needs skills (like marketing, finance, customer service) to run well. If the owner or workers lack training or experience, the business may make mistakes or miss growth opportunities.

Example: A tailoring business owner knows how to sew but does not know how to advertise or set prices. Because of this, few customers come, and the business remains small.



APPLICATION ACTIVITY 6.2`

Read the short situation below and then do the analysis and evaluation tasks that follow:

A small fruit juice seller in your village used to have many customers. Recently, the seller's business has slowed down because:

- Some customers complain the seller is rude.
- The seller buys too many fruits that go bad before being sold.
- There is a new stall nearby selling fruit juice at lower prices.

Tasks:

1. List three problems in the situation that *restrain business growth*.
 - a) _____
 - b) _____
 - c) _____
2. For each problem, explain how it makes growth difficult.
 - a) _____
 - b) _____
 - c) _____
3. Choose one problem and suggest a practical way to fix it.

6.3. Indicators of business growth and Artificial Intelligence (AI) as a tool for business growth trends analysis



Learning activity 6.3

Read the scenario below and answer questions that follow.

Mukamana started a small business of selling women's shoes in town. She began with a small amount of money. At first, she sold about five pairs of shoes each day. After five months, more customers came, and she was able to sell about twenty pairs of shoes per day.

She used the profit from her business and a small bank loan to buy more shoes. Soon, her shop was full of stock. After one year, Mukamana decided to grow her business by opening another shop in Kigali city.

She advertised her new shop on the radio and television to tell people about the shop and the prices. Because of this, more customers came and sales increased. Today, Mukamana is a successful businesswoman who sells many shoes and even exports them to other African countries.

Questions:

- a) Referring to Mukamana's business, what are the indicators of her business growth?
- b) Give any other business growth signs that are not mentioned above?

6.3.1. Indicators of business growth

There are many indicators of business growth. They include the following:

- **Increased capital:** When the business has more money than before, it shows growth. This extra money can be used to buy goods, pay workers, or invest in new things. **Example:** A shop owner started with 10,000 Rwf, and after a few months of selling, the owner now has 50,000 Rwf to use in the business. This increase in money shows the business is growing.
- **Increase in assets:** Assets are things the business owns, like buildings, vehicles, machines, or money in the bank. If these things grow in number or value, it means the business is growing. **Example:** A small food stall used to sell food on a table, but now the owner has a bigger building and a delivery bike. This increase in owned items shows growth.
- **Increase in business profit:** Profit is the money left after all costs (like rent, staff, and goods) have been paid. When profit increases, it means the business is selling more or spending less, which is a sign of growth. **Example:** A small juice seller used to make FRW. 2,000 profit each week, but now makes FRW. 10,000 profit. This shows the business is growing.
- **Opening more branches:** When a business opens shops in new places, it is able to serve more customers. This usually happens when the business is doing well and expanding. **Example:** A bakery in town now opens another shop in a different neighbourhood because many people want to buy its bread.
- **Increased market share:** Market share means how many customers choose your business compared to others. If more people are buying from your business, it means you are growing. **Example:** In a town where 10 people buy sugar every day, 7 of them choose this shop because the prices are fair and quality is good. This shows the business is doing better than competitors.
- **Increased sales revenue:** Sales revenue is the total money the business gets from selling goods or services. When sales go up, it means more customers are buying from the business. **Example:** A phone charger shop used to sell 10 chargers per month, but now it sells 50 chargers because many people know about the shop and buy from it.
- **Increased number of employees:** As the business grows, it usually needs more people to help in different jobs like selling, serving customers, or managing records. **Example:** A restaurant that started with 4 workers now employs 12 people because business is bigger and there is more work to do.
- **Use of advanced or improved technology:** When a business uses better machines or tools, it can work faster, make better products, and serve more customers. This shows the business is growing and improving. **Example:** A tailoring shop used to sew clothes by hand, but now has a modern sewing machine that can finish clothes faster and better.



Figure 6. 3: An entrepreneur in a company using a computer in recording

- **Increased stock of goods:** Stock means the items the business has to sell. If the business has more goods or a bigger variety of items, it shows it is growing because more customers want to buy from it. Example: A grocery shop that used to sell only soap and sugar now sells rice, maize flour, drinks, and school supplies.



Figure 6. 4: A big shop with varieties of products

6.3.2. Artificial Intelligence (AI) as a tool for business growth trends analysis

AI helps businesses study growth trends by examining data such as sales records, customer numbers, profits, and market changes over a period of time. Through processing large amounts of information quickly and accurately, AI can identify patterns and trends that may be difficult for humans to notice. For example, it can show whether sales are increasing or decreasing, which seasons have higher demand, and how customer behaviour changes over time.

Using this analysis, business owners can clearly see which products or services are performing well and which ones are not. This enables them to make informed decisions, such as improving weak products, investing more in successful ones, or changing marketing strategies. As a result, AI supports better planning, reduces guesswork, and helps businesses grow in a more organised and sustainable way.

Aspect	How AI is used	When AI is used	Benefits to the business
Analysing sales trends	AI analyses sales data over time to identify patterns, increases, or declines	During regular business reviews (weekly, monthly, yearly)	AI helps identify best-selling and poorly performing products
Customer behaviour analysis	AI studies customer preferences, buying habits, and feedback	When planning marketing or improving products	Enables businesses to meet customer needs better
Predicting future performance	AI uses past data to forecast future sales, profits, or losses	Before making major business decisions	It reduces risk and improves planning accuracy
Identifying growth opportunities	AI detects new market trends and unmet customer needs	When expanding or introducing new products	AI supports innovation and business expansion
Monitoring business performance	AI tracks key indicators such as profits, costs, and sales volume	Continuously during business operations	AI enables quick corrective actions when problems arise
Supporting decision-making	AI provides data-based recommendations	During strategic planning and management meetings	It improves confidence and quality of decisions

Table 6. 1: Use of Artificial Intelligence (AI) in analysing business growth trends and supporting informed decision-making



APPLICATION ACTIVITY 6.3

Read the scenario below and answer questions thereafter.

Keza owns a small shop that sells food items in her community. At first, many customers came to her shop and sales increased. She used part of the profit to buy more stock and employed one assistant. After some time, Keza started using business money for personal needs, did not treat customers politely, and often failed to purchase goods on time. As a result, sales reduced and some shelves became empty.

Tasks:

1. Identify two indicators of business growth shown in the scenario.

2. Identify two indicators of business failure shown in the scenario.
3. Suggest two strategies Keza can use to overcome the problems and help the business grow again.
4. Explain how Artificial Intelligence (AI) could help Keza analyse her business performance and identify solutions.



6.4 END OF UNIT ASSESSMENT

6.4.1 Questions for assessment

A. Knowledge and understanding

1. In your words, explain the meaning of the following terms:
 - a) Growth
 - b) Business growth
2. List three factors that can help a business to grow.
3. State three factors that can restrain or stop business growth.
4. Mention four indicators that show a business is growing.
5. Identify three indicators that show a business is failing.

B. Skills

Study the information in the table below, then complete the tasks that follow.

Business practice observed	Yes or No
The owner treats customers politely	
Stock is bought on time	
Business money is used carefully	
Sales records are kept regularly	
Stock is bought on time	
Business money is used carefully	

Tasks

1. From the practices marked "Yes", identify two factors that support business growth.
 - a) _____
 - b) _____
2. From the practices marked "No", identify two factors that can cause business failure.
 - a) _____

b) _____

3. Write two indicators that would show the business is growing.

a) _____

b) _____

4. Write two indicators that would show the business is failing.

a) _____

b) _____

5. Suggest **two practical solutions** the business owner should apply to improve the business.

a) _____

b) _____

C. Attitudes and values

Read the scenario below to answer the questions that follow.

Mugeni runs a small food business. She keeps proper records, serves customers politely, and uses business money only for business purposes. Her business continues to grow every month.

1. What positive attitude does Mugeni show toward business operations?
2. Explain one reason why proper business operations help a business to grow.
3. State one lesson you can learn from Mugeni's behaviour as a future business owner.



6.4.2. Project activity

Project Name: Understanding business growth

Instructions:

1. Choose one small business in your community.
2. Observe the business and write:
 - a) Two indicators showing whether the business is growing or failing.
 - b) One challenge facing the business.
 - c) One solution that can help the business grow.

Expected output:

A short written report (1 page) showing understanding of business growth, failure, and proper business operations.



UNIT 7: CONCEPT OF STANDARDISATION

Key unit competence: You will be able to explain how standardisation improves product quality and consistency in everyday business activities.

Learning objectives: At the end of this unit, you will be able to:

Knowledge and understanding

- Explain the meaning of standard, standardisation, standards body, and standards harmonisation.
- Explain the importance of standardisation
- Identify the fields and levels of standardisation
- Explain levels of standardisation
- Give different types of standards

Skills

- Assess the fields and levels of standardisation
- Analyse standardisation practices in the community
- Analyse levels of standardisation by identifying whether a product or service follows national, regional, or international standards
- Use AI tools to analyze business growth trends for improving business performance

Attitudes and Values:

Be keen on standards in daily activities.

7.0 Introduction

Standards are important in daily life because they guide how products are made and how services are offered. This helps to ensure quality, safety, and consistency. In this unit, you will learn the meaning of standards, standardization, standards bodies, and standards harmonization, as well as the importance of standardization in promoting fair trade, international trade, customer confidence, and innovation.

The unit also covers the main fields and levels of standardization and introduces the different types of standards used to control products, services, and processes.



Introductory activity

Instructions:

1. Look at things you use every day at home or school (for example: food, clothes, books, transport).
2. Choose two items and write their names in your exercise book.
3. For each item, answer these questions:
 - a) Is it safe to use or eat?
 - b) Does it look well made?
 - c) What can happen if it does not meet standards?
4. Answer the questions below:
 - a) Why are standards important for products and services?
 - b) How do standards help people trust what they buy?
5. Write two short sentences explaining how standards help:
 - a) Food and farming
 - b) Buildings and transport

7.1. Meaning and importance of standardization



Learning activity 7.1

1. Read the short statements below carefully and match each statement in **Column A** with the correct term in **Column B**, and then write the correct letter from Column B next to each number in your exercise book.

Column A: Statements	Column B: Key terms
i) Agreed rules that help ensure products are safe and of good quality.	A. Standardisation
ii) The process of creating and setting rules to guide how things are done.	B. Standards body
iii) An organisation that makes and controls rules for products and services.	C. Standards
iv) Making rules from different countries similar so that trade and use become easier.	D. Standards harmonisation

After matching, write one sentence explaining why standards are important in daily life

2. Read the statements below and answer the questions in your exercise book.

Standardisation helps make sure that products and services are safe, of good quality, fair, and consistent. It affects many areas of daily life such as food, trade, health, and technology.

Match each importance of standardisation in Column A with the correct example in Column B.

Column A	Column B
a) Ensuring quality and safety	i) Medicines approved before sale
b) Promoting fair trade	ii) Same weights used when selling sugar
c) Facilitating international trade	iii) Phone charger works in many countries
d) Improving customer confidence	iv) Clean food preparation rules
e) Enhancing innovation	v) Cars improved while following safety rules

Answer the following questions:

- a) Why is standardisation important for people's health and safety?
- b) How does standardisation help customers trust products they buy?

7.1.1. Meaning of terms

Standards follow rules that are set by an organisation. We use standards for many different reasons.

Think, for example, of scientists who work in different countries and need to share their ideas and findings with each other.

The metric system is an example of a standard used in science. We measure items using metres and centimetres. We also use a standard way of writing the symbols for chemicals.

Think, for example, of scientists working with the metal gold. In French, gold is "or" and in Kinyarwanda, it is "zahabu", but a scientist will always use the symbol "Au" for gold. In this way, the scientist can share knowledge with scientists in other countries.

With this background above, we can explain the meaning of the standards key terms as follows:

a) Standards

According to Rwanda Standards Board, a standard is a document, established by consensus and approved by a competent organ that provides, for common and repeated use, rules, guidelines or characteristics for activities or their results, aimed at the achievement of the optimum degree of order in a given context.

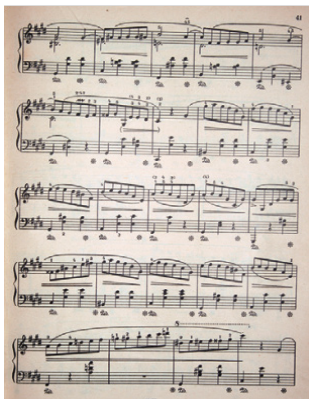


Figure 7. 3: Musicians around the world use musical notation



Figure 7. 3: The rims and tyres on bike have a standard size



Figure 7. 3: The QWERTY system means that the letters on a keyboard are always in the same place.

b) Standardisation

Standardisation is the process of developing standards by adhering to the following guiding principles: openness, transparency, impartiality, consensus, effectiveness, and relevance, coherence, and harmonization, prevention of unnecessary obstacles/barriers to trade, development dimension, due process, performance-based, stakeholders' engagement and science-based discussion.

The process of standards development generally comprises major steps which include the following:

- **Reception of the request to develop the standard and standard need**

assessment: This forms the first stage of the standardization process. There must be a need for a given Standards, especially for new products. The client sends the request for standard development indicating its scope, to the institution in charge of Standards development, current, RSB. The need assessment is carried out by RSB to find out if there is another Standards that can respond to this request. The Standards may be national, regional, or international. If the Standards is available, the client gets informed otherwise the next steps in standards development are followed.

- **Proposal for acceptance for the development of the new standard:** This is the stage where the Standards Project Committee analyzes the justification provided by the Staff who carried out the need assessment and based on the findings, the committee approves the new work item to advance to the next stage.
- **Collection of reference materials and drafting:** At this stage, the required reference materials are gathered including those which might be provided by the client. Once they are all ready, the drafting team sits together to come up with the initial draft.
- **Discussion of the draft standard by the Technical Committee (TC) Experts:** The interested parties, represented by producers, distributors, consumers, regulatory bodies and academia participate in the technical committee meeting to deliberate on the content of the draft standard. Once all the inputs are incorporated into the draft, it moves to the next stage.
- **Public Review:** The draft Standards agreed upon by TC experts is subjected to public review for constructive feedback from interested parties who may affect or maybe affect the implementation of the standard once approved. These include the entrepreneurs who did not participate in the discussion at the drafting stage.
- **Incorporation of comments in the draft, if any:** From the public inquiry, a collection of feedback is attained. These are further discussed and once approved, they are incorporated in the draft. At this stage, the final version of the standards is compiled by the committee and submitted for approval.
- **Approval:** This phase is for the approval of the draft Standards by the RSB Board of Directors.
- **Publication:** The final version once approved, is published in the National Official Gazette and becomes a National document to be implemented by relevant interested parties.

c) A standards body



Figure 7. 4: Many cooperatives in Rwanda follow Fairtrade standards.

A standards body is an organisation that sets and controls standards. The Rwanda Standards Board (RSB) sets standards that protect customers and promote trade for Rwandan businesses.

The International Organization for Standardization (ISO) sets standards for many different industries. These standards all start with the letters ISO. For example, the standard number for environmental management is ISO 14000.

d) Standards harmonisation

Sometimes standards in different countries are not the same. We can measure the size of a shoe, for example, using different systems.

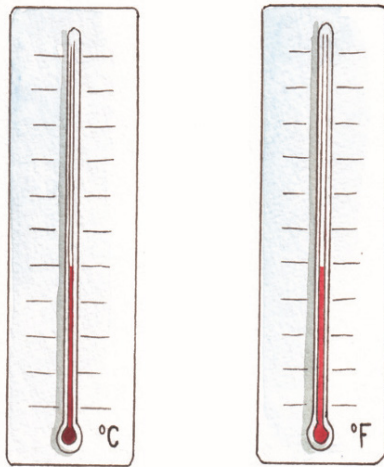


Figure 7. 5: We use different systems when standards are not harmonised.

Some countries also use different systems for measuring distance or temperature.

To harmonise standards, we agree on one standard that we should follow. When we harmonise standards, we make the standard easier for everyone to understand, follow and control.

7.1.2. Importance of standardisation

Standardisation is important because it helps ensure safety, quality, fairness, and consistency in the products and services people use every day.

Standardisation is important in many ways such as:

- **Ensuring quality and safety:** Standard rules make sure products are safe to use. Example: Food is prepared using hygiene rules so people do not get sick.
- **Promoting fair trade:** All producers follow the same rules, so no one has an unfair advantage. Example: All sugar sellers must use the same weights when selling sugar.
- **Facilitating international trade:** Countries can buy and sell goods more easily when they use similar standards. Example: A phone charger made in one country can work in another country.
- **Improving customer confidence:** Customers trust products that meet standards. Example: People trust medicines that are approved by health authorities.
- **Enhancing innovation:** Standards guide inventors and help them improve products. Example: Car manufacturers improve safety features while following safety rules.



APPLICATION ACTIVITY 7.1

A group of students notices that some bread sold near their school is not well packed and sometimes has a bad smell. Another shop sells bread that is well packed, clean, and has an expiry date.

Tasks:

1. Identify one standard-related problem with the first bread seller.
2. Identify one way standards are followed by the second bread seller.
3. Answer the questions below:
 - a) Which seller is more likely following standards? Why?
 - b) Name one organisation that helps to make sure food standards are followed in Rwanda.
4. Write two short sentences explaining why standardisation is important in your daily life.

7.2. Subject and field of Standardization



Learning activity 7.2

Match the standard with the field.

Fields	Standards
1. Science	A) Standards for accounting (Generally Accepted Accounting Principles (GAAP))
2. Education	B) Standards for safety inspections of vehicles
3. Commerce	C) Standard for conducting and reporting on findings of experiments
4. Housing	D) Standards for setting tests and exams in secondary schools
5. Transport	E) Standards for using safe building materials
6. Textiles	F. Standards for sizes of clothes

There several subjects and fields where standardisation plays a big role.



Figure 7. 6: Standards show the correct size and strength of materials used to build bridges.

- **Engineering standardisation** guides how machines, tools, roads, and buildings are designed and made.



Figure 7. 7: Standards guide how electrical appliances are made to prevent electric shocks

- **Industry standardisation** ensures products made in factories are safe and of good quality.



Figure 7. 8: Traders must use standard weights and measures when selling goods.

- **Commerce standardisation** controls buying and selling to ensure fairness in trade.

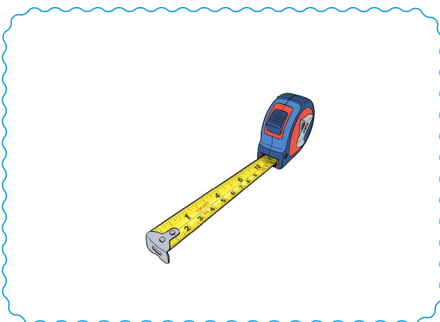


Figure 7. 9: Scientists use metres to measure length

- **Science standardisation** helps scientists use the same measurements and symbols worldwide. For example, scientists use metres for length and "Au" as the symbol for gold.

- **Education standardisation** sets rules for teaching, learning, and assessment. For example, a national curriculum ensures learners at the same level study similar subjects.
- **Transport standardisation** ensures safety in roads, vehicles, and traffic systems. For example, vehicles must meet safety standards like having seat belts and brakes.
- **Housing and building standardisation** guides safe construction of houses and buildings. For example, standards show the right materials to use when building a house.
- **Food standardisation** ensures food is safe, clean, and fit for consumption. For example, food sellers must follow hygiene standards to avoid food poisoning.
- **Agriculture standardisation** guides farming practices to ensure quality crops and animals. For example, standards control how pesticides are used on crops.
- **Forestry standardisation** protects forests and promotes proper use of forest resources. For example, standards limit cutting too many trees.
- **Textile standardisation** controls the quality and size of clothes and fabrics. For example, school uniforms follow standard sizes and fabric quality.



Figure 7. 10: Chemicals must have warning labels to prevent accidents

- **Chemical standardisation** ensures chemicals are produced, labeled, and used safely.



Figure 7. 11: Websites always have to be Secure with HTTPS Protocol

- **ICT and digital standardisation** ensure that computers, phones, and internet tools work safely and in the same way everywhere.

For example, using the same USB chargers, file formats like PDF and JPG, and safe websites with HTTPS helps people communicate easily and protects their information. ICT standards also support digital learning and make technology more reliable.



APPLICATION ACTIVITY 7.2

1. Observe any item or place in your home, school, or community that uses standardisation. Then answer the following questions:
 - a) What item or place did you observe?
 - b) Which field of standardisation does it belong to? (Food, textiles, lct/digital, transport, science, industry, etc.)
 - c) What standard or rule is being followed for this item or place?
 - d) Why is this standard important? (Think about safety, quality, health, fairness, or proper functioning.)

7.3. Levels of standardization



Learning activity 7.3

1. In your exercise book, copy the table below and complete it.

Level of standardisation	Area covered	One example
International		
Regional		
National		

2. Why are international standards important for countries that trade with each other?

Standards can be used at different levels depending on how wide the area is where they apply. These levels help make sure products and services are safe, good quality, and fair to everyone.

1. International standardisation

International standardisation involves standards that are used by many countries around the world. These standards make it easier for countries to trade and work together because products and services follow the same rules.

Example: ISO standards are used worldwide to guide product quality, safety, and management systems.

2. Regional standardisation

Regional standardisation refers to standards agreed upon by a group of countries in the same region. These standards help member countries trade easily and use similar systems.

Example: Standards developed by the East African Community (EAC) help member countries trade goods using the same quality and safety rules. Visit this website to know more about East African Standards: <https://www.eac.int/trade/trade-documents/category/sqmt>

3. National standardisation

National standardisation involves standards set and used within one country. These standards protect citizens, ensure product quality, and support local businesses.

Example: In Rwanda, the Rwanda Standards Board (RSB) sets national standards for products and services used in the country.



APPLICATION ACTIVITY 7.3

1. Look at one product or service you use every day (for example: food, soap, school uniform, phone charger, transport).

Answer the questions below in your exercise book:

- a) Is this product or service used only in Rwanda, in East Africa, or in many countries?
 - b) Which level of standardisation applies to it: international, regional, or national?
 - c) Explain one reason why this level of standardisation is important for the product or service you chose.
2. Write one short sentence explaining how standards help keep people safe or protect quality in your example.

7.4. Types of standards

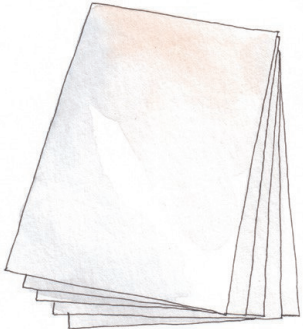
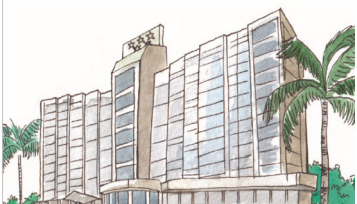


Learning activity 7.4

In your own words, what do you understand by the following types of standards?

- | | |
|-------------------------|---------------------|
| a) Basic standard | d) Testing standard |
| b) Product standard | e) Service standard |
| c) Terminology standard | f) Process standard |

Standards can be grouped into different types depending on what they control or guide. Each type of standard helps to ensure quality, safety, and consistency in products, services, and processes. The following table summarises different types of standards that you need to know:

	1. A basic standard is a general standard that give common rules used in many areas. They form the foundation for other standards. e.g.: A rule that shows which metal is used to make a 20-franc coin.
	2. A product standard describes the features of a specific product, such as its size, quality, safety, or performance. E.g.: An A4 sheet of paper has a standard size that is the same everywhere.
	3. A terminology standard explains the correct words and symbols to use so that people understand each other clearly. E.g.: Doctors use standard names for diseases, and scientists use "Au" as the symbol for gold.
	4. A testing standard shows how tests should be done to check quality, safety, or performance. E.g.: Exams follow testing standards, and food is tested using standard methods to check if it is safe to eat.
	5. A service standard describes what you can expect from a business that sells a service. We sometimes use rating systems. explain what customers should expect when receiving a service. For example, Hotels use star ratings to show the level of service they offer. A five-star hotel promises high-quality service.



6. A process standard shows the correct steps to follow when doing a task or making a product. E.g.: Factories follow a standard process when assembling products on an assembly line.

Table 7. 1: Different types of standards for different reasons



APPLICATION ACTIVITY 7.4

1. Study the examples below and identify the type of standard used in each case.

Situation	Type of standard
a) Road signs use the same colours and shapes everywhere (red for stop, green for go).	
b) A school uniform must be made from a specific fabric and colour.	
c) A medicine bottle shows dosage instructions and safety warnings using standard words and symbols.	
d) Water from a borehole is tested in a laboratory before people drink it.	
e) A public bus company follows rules on how drivers should serve passengers.	
f) A bakery follows fixed steps when baking bread every day.	

Choose any two situations above and explain why standards are important in each case



7.5. END OF UNIT ASSESSMENT

7.5.1. Questions for assessment

A. Knowledge and Understanding

1. Explain the meaning of the following terms:

- a) Standard
- b) Standardisation
- c) Standards body
- d) Standards harmonisation

2. Choose the correct answer.

i. Which organisation sets national standards in Rwanda?

- a) ISO
- b) EAC
- a) Rwanda Standards Board (RSB)
- b) United Nations

3. Which of the following best shows international standardisation?

- a) School uniform rules in one school
- b) RSB food standards
- c) ISO standards used in many countries
- d) Market rules in one district

3. Match the importance of standardisation with the correct example.

Importance	Example
a) Ensuring safety	i) Medicines tested before sale
b) Fair trade	ii) Same weights used by traders
c) Customer confidence	iii) Approved products trusted by buyers

4. List any three fields where standardisation is used.

- a) _____
- b) _____
- c) _____

5. Name the level of standardisation for each example below:

- a) ISO quality standards:_____
- b) EAC trade standards:_____
- c) RSB food standards:_____

6. Write the correct type of standard for each situation:

- a) Rules for testing drinking water:_____
- b) Fixed size of A4 paper:_____
- c) Steps followed when baking bread:_____

B. Skills

1. Read the scenario below and answer the questions.

A shop in your community sells packed food items. Some have expiry dates and quality marks, while others do not. Customers prefer buying food with clear labels.

- a) Identify two standards being followed in the shop.
 - b) Identify one problem caused by lack of standards.
 - c) State the field of standardisation involved.
- 2 Observe a product or service you use every day (food, transport, school uniform, soap, or phone charger). Answer the following:
- a) Name the product or service.
 - b) State the level of standardisation (national, regional, or international).
 - c) Explain one reason why this level is important.
3. Analyse standardisation practices in your community.
- a) Mention one place where standards are well followed.
 - b) Mention one place where standards are not well followed.
 - c) Suggest one way standards can be improved.

C. Attitude and values

Tick (✓) the correct statements.

Statement	✓ or ✕
a) Standards help ensure safety and quality	
b) Standards are not important in daily life	
c) Following standards builds trust	



7.5.2. Project activity

Activity: Create and inspect a product

Step 1: Choose one product to make:

- A paper envelope or
- A bookmark

Step 2: Make the product

- Use simple materials such as paper, ruler, pencil, and scissors.
- Make your product carefully and neatly.

Step 3: Create a checklist of standards

In your exercise book, write a checklist of standards that your product should meet.

Example checklist for a bookmark:	Example checklist for an envelope:
• Same length from top to bottom • Straight edges • Clean and neat • No torn paper	• Sample size on all sides • Proper folding • Well closed (can hold paper) • Clean and neat

Step 4: Inspect your own product

- Use your checklist to inspect your product.
- Tick (✓) the standards that are met.
- Cross (×) the standards that are not met.

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